



MOTOR

UNDERWRITING AND RATING GUIDELINES

TRINIDAD OPERATIONS

Version 3.0

PRIVATE AND CONFIDENTIAL

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Version Control			
Ver sion	Date	Comment/Change Mode	Author
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2.1	04 June 2019	1. Pg. 32 – Transfer of interest in an insured vehicle – updated to include procedures for joint ownership when one party is deceased. 2. Pg. 42 – Private Third Party & Third Party Fire & Theft rates amended 3. Pg. 77 – Listing of valuers updated 4. Pgs. 81 to 85 – Addenda for various promotions and flood rating guidelines included	MM

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2.2	04 February 2020	1. Pg 52 – Private TP rate amended wef 01 April 2020 (up to 2200 c only) 2. Pg- 58 – waiver of excess included as an optional extra benefit 3. Pg 59 – Minimum annual premium amended to \$1,000 and min transaction premium of \$150. Included for Private cars 4. Pg 72 - Minimum annual premium amended to \$1,000 and min transaction premium of \$150. Included for commercial vehicles	MM
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Ver sion	Date	Comment/Change Mode	Author																		
3.0	13 th May 2024	Pgs. 15 to 30 updated in line with new proposal form questions. Pg. 18 High Performance Vehicles Listing updated Pg. 23 OEB's updated in line with new proposal forms. Pg. 25 OEB 5 Agreed Value – the benefit has been renamed to Agreed Depreciation. The entire guide was amended to reflect this name. Pg. 24 OEB11 Windscreen Front and Back glass damage only (Third Party only) – LIMTS and charges included Pg. 26 OEB 09 Waiver of Excess – Options 1 to 3 inserted along with endorsement wordings and rate Pg. 27 OEB10 Mechanical Repair Benefit – moved up in line with other benefits Pg. 29 OEB 12 Survivors Benefit - moved up in line with other benefits All reference to Authorized repair –deleted Pg. 37 Referred risks listing updated Pg. 45 Motor Assist section update in relation to new charges for Motor Assist Pg. 46 Altered Motor Vehicle Underwriting - New Section Underwriting Guidelines. Includes all guidelines for Electric Vehicles, Hybrid Vehicles, Self-Driver Feature on Vehicles and Toyota Aqua- High Theft Claims. All Motor Algorithms were updated Pg. 54 14.3 Optional Extra Benefits – Private Cars – updated in line with new charges and limits. Pg. 56 Increased Limits of Third Party Liability - Non Standard Limits were updated for all Risk Types as follows: <table><tr><th>Bodily Injury Limits</th><th>Property Damage Limits</th><th>% of TP Premium</th></tr><tr><td>\$6,300,000</td><td>\$6,300,000</td><td>150%</td></tr><tr><td>\$6,500,000</td><td>\$6,500,000</td><td>160%</td></tr><tr><td>\$6,800,000</td><td>\$6,800,000</td><td>180%</td></tr><tr><td>\$12,600,000</td><td>\$12,600,000</td><td>300%</td></tr><tr><td>\$31,500,000</td><td>\$31,500,000</td><td>400%</td></tr></table> Pg. 57 Minimum Annual Premiums for Private Motor inserted Pg. 62 Minimum Annual Premiums for Commercial Motor inserted Pg. 69 – Explanation on tool of trade added Pg. 76 Minimum Annual Premiums for Special Type Motor inserted Pg. 79 Minimum Annual Premiums for Motor Cycle inserted Pg. 92 Minimum Annual Premiums for Motor Traders inserted Pg. 96 List of approved Inspectors and Valuers Updated Discontinued Motor Campaigns deleted from Addenda	Bodily Injury Limits	Property Damage Limits	% of TP Premium	\$6,300,000	\$6,300,000	150%	\$6,500,000	\$6,500,000	160%	\$6,800,000	\$6,800,000	180%	\$12,600,000	\$12,600,000	300%	\$31,500,000	\$31,500,000	400%	SP
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1. INTRODUCTION

The objective of writing a motor portfolio is to make an underwriting profit and this manual seeks to give a general indication of the underwriting approach that should be adopted by our underwriters with regard to the various factors involved in the achievement of this objective. It also stipulates the rates to be charged for the various risks.

The quality of individual acceptances affects the entire portfolio and therefore all proposals should be carefully analysed and rated with the use of this Guideline.

Motor vehicle insurance is purchased for road vehicles like cars, trucks and motorcycles and its primary use is to provide financial protection against physical damage and/or bodily injury resulting from traffic collisions and against any other liability that may arise. It can also offer financial protection against theft of the vehicle and other damage that may be sustained from incidents other than traffic collisions e.g. fire.

As motor vehicle insurance is compulsory in most territories, GGIL offers the following policies to suit the needs of its client's i.e. private individuals and companies that own motor vehicles.

- Private and Private use Pick Up - used for social, domestic and pleasure purposes or for company business
- Motorcycle – used for social, domestic and pleasure purposes or for company business
- Hired Vehicles – used for hire by paying passengers
- Own Goods – used to transport the goods of the insured
- General Transport – used to transport goods of paying customers
- Rental Vehicles – rented to persons for short term and long term periods
- Special Types – can be divided into P licensed vehicles for a specific use e.g. ambulances; heavy vehicles with T license plates e.g. fire tenders and X licensed vehicles that are not for road use and have to be transported e.g. compressors, generators, welding plants, forklifts, cranes and pavers
- Motor Trade Risks – for individuals/companies involved in the motor trade e.g. the selling, repairing, servicing and painting of motor vehicles
- Contingent Liability – to protect individuals/companies that may incur liability when someone is using their personal vehicle on behalf of the individual/company

The vehicle's use is paramount in determining the type of insurance the proposer needs and the attendant premium i.e. a private vehicle should not be used for business purposes unknown to the insurer or else any claims that arise may be denied as this use increases the accident risk and the liabilities that can arise.

Private motor policies are written with the average private individual and their needs in mind while commercial motor policies are designed to address the unique needs and situations of business uses.

Most of GGIL's Motor Vehicle policies are modeled along the same line as the Private Motor Vehicle policy with similar Sections but some of the benefits are different to reflect the different uses of the vehicles.

The major differences are a) that most of the Optional Extra Benefits offered under the Private Motor Vehicle policy are not offered under the other motor policies and b) there are additional Exclusions depending on the type of policy that is being provided.

The underwriting considerations for all motor policies are similar and the proposal is assessed based on the responses to the questions in the Proposal Form. This Guide will specifically examine the underwriting of the

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Private Motor Vehicle policy. Additional underwriting considerations will be noted as required in relation to the commercial risks that they cover.

1.1 MOTOR LEGISLATION

Motor vehicle third party liability insurance is compulsory in Trinidad and Tobago where the Motor Vehicles Insurance (Third Party Risks) Act Chapter 48:51 as amended makes provision for the protection of third parties against risks arising out of the use of motor vehicles and specifies the minimum Limits of Liability in cases of death, bodily injury and/or damage to property.

It also specifies that every driver in control of a Motor Vehicle on a public road must have in his/her possession a Certificate of Insurance to prove that the vehicle is insured for Third Party risks for at least the minimum limit under the Act which is as follows:.

In respect of:-

Death or bodily injury	\$1,000,000 in respect of any claim by any one person \$2,000,000 in respect of total claims for any one accident for each vehicle
Damage to Third Party Property	\$500,000 in respect of any claim by any one person \$1,000,000 in respect of a series of claims by several persons arising out of one accident
Emergency Treatment	\$1,000 in respect of each person

1.1.1 Certificate of Insurance

This certificate must be in the format specified by the legislation and a template is attached to the legislation and must be adhered to by the insurer.

The document must be printed on white paper and completed in black ink. It must show the following stipulated information and the exact date and time of its issue with the examiner's initial following the declaration stating that it has been issued in accordance with the relevant legislation.

Certificate No, and Policy No

- 1) Index Mark and registration number of vehicle
- 2) Name of Policyholder
- 3) Date of the commencement of insurance
- 4) Date of expiry of insurance
- 5) Persons or classes of persons entitled to drive
- 6) Limitations as to use.

1.1.2 Duplicate Certificate of Insurance

A duplicate Certificate should only be issued on payment of the current fee and if the original Certificate has been lost, stolen or defaced. It is not necessary to forward a copy of a duplicate Certificate to the Licensing Office.

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1.1.3 Lost or Stolen Certificate of Insurance

A statutory declaration must be provided in these instances and the proper procedure for issuing a Duplicate Certificate as stated in the legislation should be followed.

1.1.4 Return of Certificates of Insurance

The Certificate of Insurance must be returned/surrendered or a Statutory Declaration stating that it has been lost or stolen must be provided to the Company before:-

- a) A policy is cancelled
- b) Cover under a policy is suspended
- c) A vehicle is terminated from the Schedule of the policy
- d) The existing vehicle is replaced.

A refund of premium must not be given unless the insured complies with all of the above conditions.

If the Certificate is not returned by the insured, we will commence proceedings by filing a complaint without oath. In the case of an agent/broker, this matter must be referred to the Manager or Head Office.

1.2 INSURED

All our insureds need Motor insurance to comply with legislation and/or protect their asset i.e. their vehicle. These insureds can either be:-

- The owner/s of a motor vehicle who use it for social, domestic and pleasure purposes or
- The owner of a motor vehicle who is not licensed to drive but has a driver or
- A company that has private motor vehicles that are used by its employees.

Insurers have to keep abreast of changes in legislation as amendments are made from time to time. They must ensure that the Third Party limits provided by their policies are in line with the minimum limits specified in the legislation or higher than these limits.

GGIL responds to the needs of their insureds by offering an attractive Private Motor policy with higher third party limits of liability than are legislated along with several additional benefits. It also seeks to make an underwriting profit on this line of business.

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2. PURPOSE OF THE UNDERWRITING GUIDE

This guide seeks to:

1. Establish the underwriting philosophy of GGIL
2. Clarify the role of the underwriter or the agent acting on behalf of GGIL
3. Provide guidelines for the underwriting of acceptable Private Motor risks i.e. all insureds who are good drivers with their vehicles in a good state of repair
4. Define the deviations that are allowed covering vehicles other than sedans
5. Classify those risks that are not acceptable i.e. they should be insured under another type of GGIL motor policy or they should not be insured with GGIL
6. Give an indication of the rating structures and procedures to be utilized in premium calculation
7. Ensure that our underwriters and agents understand their role in dealing with external customers.

This guide will be updated to address changes in legislation and to communicate new or revised directives to underwriters/agents. Memos will be sent to underwriters and agents advising of amendments but underwriters/agents are expected to re-visit the guide periodically to refresh their knowledge.

If there is doubt at any time, underwriters must contact their Manager and agents must contact Head Office to obtain clarification. Users of this guide should feel free at any time to offer suggestions that can improve the clarity of this Guide which supersedes all previous underwriting and rating guides in relation to our motor portfolio.

3. UNDERWRITING PHILOSOPHY OF GGIL

The Guardian Group is committed to building long-term meaningful relationships with our customers. We use our expertise and experience to:-

- understand each customer and their risk exposure
- provide flexible solutions that exceed customer expectations
- exercise discipline in risk assessment and pricing while making sound business decisions

4. ROLE OF THE UNDERWRITER/AGENT/BROKER

The underwriter/agent/broker is responsible for assessing risks and deciding whether they are acceptable or should be declined. Once they decide to accept a risk, they must determine the terms and conditions of the cover and the price of the risks using the information that is available on the Proposal Form or broker slip or other source.

The technical assessment of the risk will be based on the physical hazard and moral hazard. Physical hazard relates to the material aspects of the risk i.e. the items to be insured which will influence the occurrence and/or severity of a loss and moral hazard is concerned with the attitude and conduct of the parties involved with the risk.

5. FUNDAMENTAL INSURANCE PRINCIPLES

5.1 INSURABLE INTEREST

The common law regards insurable interest as the legal right of a person to insure and this is a prerequisite for insurance.

In order to recover legally from an insurance policy the insured must be in a legally recognised relationship to the subject matter of the policy, whereby he/she benefits from its safekeeping or is prejudiced by its loss.

In motor insurance, insurable interest can arise through an obligation to insure (a borrower is contractually obligated to insure his motor vehicle by the terms of a mortgage/lease agreement) or through option (the owner decides to protect his assets and liabilities).

In some cases e.g. the death of an insured or absence from a country, attorneys or other persons may be instructed by their clients (via a contract called a power of attorney) to insure and keep insured a motor vehicle including payment of any premiums when they become due, and even to make a claim under the policy and to receive the proceeds of same for disbursement.

In such a case, the attorney or other person may be named as a co-insured, but he must disclose the identity of the owner (the primary insured) and the extent of the powers he has been granted by that owner (a copy of the power of attorney document should be obtained and kept on GGIL's file).

5.2 INDEMNITY

Indemnity may be defined as an exact financial compensation i.e. the insured will be restored to the same financial position after a loss as he enjoyed prior to that loss and should not benefit from a loss.

In a "Total Loss" claim, we will normally pay the indemnity value which is the fair market value of the vehicle immediately before the accident or loss. The Sum Insured on the vehicle should therefore correspond to this value. The fair market value will usually depreciate with time due to age, wear and tear, so it is important that the insured review the Sum Insured at every renewal to ensure it is adequate.

However, GGIL will allow an insured in special cases to elect to choose an Agreed Depreciation Policy as opposed to the standard indemnity policy. This is explained in detail under Additional Benefits.

5.3 UTMOST GOOD FAITH/THE PROPOSER'S DUTY OF DISCLOSURE

Utmost good faith is a common law principle which means that each party to a proposed insurance contract is legally obliged to reveal to the other party all information which will influence the other's decision to enter the contract, whether such information is requested or not. A proposer is therefore expected to reveal all material facts about a proposed risk to the insurer when completing the Proposal Form. A material fact is one which would influence a prudent underwriter in deciding whether or not to accept a risk i.e. to issue a policy and if so, its terms and conditions.

The duty of disclosure arises:

- at inception of a policy until there has been unqualified acceptance by GGIL and the customer
- during the cover period if changes are made to the private motor vehicle or if any driver under the age of 25 years and or over the age of 25 years and not driving regularly for a period of two years is to be allowed to use the vehicle
- at renewal
- if the insured requests any change to be made to the policy.

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GGIL expects each underwriter/agent/broker to remind each proposer of this duty. This can be done by simply asking the proposer whether there are any material facts about the risk which he/she has not mentioned or has not documented on the Proposal Form e.g. drivers under the age of 25 years and or driving less than two (2) years on a regular basis who must be declared to the insurer.

5.4 PRIVATE MOTOR INSURANCE CONTRACT

The insurance contract comprises the Policy and the following documents:

- (1) The **Proposal Form** and **Declaration of the Insured** which form the basis of this contract
- (2) The **Schedule** which stipulates the Sections and Sub-Sections that apply to Your insurance contract
- (3) The **Certificate of Insurance**

6. RISK ASSESSMENT

When carrying out a risk assessment /risk evaluation for motor insurance, an underwriter must take a holistic view of all the underwriting factors in order to decide whether to accept the risk or not, and if so to determine the appropriate premiums, terms and conditions.

The critical factors are addressed in the Proposal Form that should be accompanied by a certified Copy of Ownership, a current Trinidad and Tobago Driver's Permit or valid Visitors Driving Permit, proof of No Claim Discount, a valuation from a reputable motor vehicle dealer, a medical fitness certificate for drivers over 65 years. A Know Your Customer Form also has to be completed on behalf of the proposer.

6.1 PROPOSAL FORM

Effective September 2021 the declaration was updated to allow GGIL to share/verify client's information.

A Proposal Form consists of a series of questions requesting information that will enable the underwriter to assess the proposed risk. The answers to the questions will inform on the physical and moral hazard.

The physical hazard relates to the material aspects surrounding the risk i.e. the private motor vehicle while the moral hazard is concerned with any human element involved with the risk i.e. the owner and drivers.

A completed Proposal Form, signed by the proposer or a Power of Attorney, must be obtained with all questions properly answered. Underwriters/agents/brokers must remember that a Power of Attorney ceases to be legal upon the death of the person who appointed the other person to be his/her Power of Attorney. Signatures by persons on behalf of companies should have a company stamp applied around the signature and a note should be made as to the signer's position in that company.

6.1.1 Certification of Proposal Form

The Act requires that a Policy of Insurance along with a certified copy of the Proposal Form upon which the policy was issued must be delivered to the insured before the expiry of one (1) week from the date of issue of the Certificate of Insurance. It is therefore imperative that a completed Proposal Form is obtained in every case.

Besides the above requirement, the Proposal Form is the basis upon which the contract is formulated therefore the form must be properly completed and signed by the proposer. Dashes, blanks, "not regularly" (or any such answers) are not acceptable. A Proposal Form should not be signed by anyone other than the insured/proposer (unless there is a Power of Attorney).

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6.2 ADDITIONAL DOCUMENTS

The Proposal Form must be accompanied by the following documents in order for the underwriter, broker or agent to underwrite and accept the risk.

- Certified copy of ownership of vehicle which states the name of the owner and is the official proof of ownership or transfer slip if the vehicle has been recently purchased
- Current Driver's Permit of the insured and other drivers
- Valid Passport or National Identification Card of the insured and other drivers
- Recent No Claim Discount Letter from your previous insurer (where applicable)
- Pro forma invoice (for new vehicles)
- Inspection certificate if the vehicle is older than five (5) years
- A recent valuation from the dealer or a reputable dealer

A Know Your Customer Form has to be completed on behalf of the insured in order to comply with the legal requirements.

6.3 TYPES OF COVER

Under most of our motor policies there is the option to select one of the following types of cover:-

1) **Third Party**

This type of cover protects the insured against legal liability for bodily injury to third parties and damage to third party property arising out of the use of a motor vehicle. There is no cover for the insured vehicle.

2) **Third Party Fire & Theft**

This type of cover protects the insured against:-

- a) legal liability for bodily injury to third parties and damage to third party property arising out of the use of a motor vehicle and
- b) loss of or damage to the insured vehicle by fire and/or theft

3) **Comprehensive**

This is the widest form of cover offered. It protects the insured against:-

- a) legal liability for bodily injury to third parties and damage to third party property arising out of the use of a motor vehicle
- b) loss of or damage to the insured vehicle by accident and/or collision and/or overturning and/or fire and/or theft

The cover also includes the following:-

- Transit between any ports within the Territorial Limits including the processes of loading and unloading incidental to such transit.

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- Third Party indemnity while the insured is driving a motor car (with the owner's permission) not belonging to or hired (under a hire purchase agreement or otherwise) to him or his employer or his business partner. **This only applies when the Insured is an individual.**
- Third Party indemnity to the insured's employer or business partner (**if the insured is not a company**).

Certain types of loss or damage are not covered but can be purchased for a small premium e.g. catastrophe perils like earthquake, hurricane, flood, windscreen damage.

6.4 PROPOSER/INSURED/JOINT INSURED/CHANGE OF INSURED'S NAME

GGIL may be approached to issue a policy in the name(s) of:

1. an individual
2. two or more individuals (Joint Insureds)
3. a company (the motor vehicle may be the property of a registered company)
4. an Estate

The name that appears on the Proposal Form constitutes "the Proposer", and if the terms quoted by GGIL are accepted, that proposer becomes "the insured/policyholder", and is entitled to make a claim.

When an insured dies, it is customary to change the name of the insured to "the Estate of John Smith" on receiving a copy of the death certificate and a written request from an interested party or the Executor or Administrator of the Estate. Once the name change takes place, the Executor or Administrator of the insured's estate is the only person who is legally authorised to deal with the policy or any claim under it (a Trust Company can also be the Executor of an Estate).

6.5 PROPOSAL FORM - QUESTIONS

Question 1

This question requests the name/s, date of birth/incorporation, place of birth/incorporation, nationality, country of residence, address, contact information, occupation, marital status, name of employer and business activity, driver's permit information and employer's information relating to the Insured and if they are a PEP –Politically Exposed Person.

The Insured or the Driver/s

A principal factor in the underwriting of motor insurance is the insured and the other drivers. The name of the insured should be identical to the name on the vehicle's certified copy of ownership.

Age/Driving experience of the insured or other driver(s)

Drivers between the ages of twenty-five (25) and seventy (70) are considered acceptable risks if they have been driving accident free for more than two (2) years. The ages of all the drivers along with their driver's permit information is required to determine the acceptability of the risk and the premium.

Drivers with a permit less than two (2) years old are inexperienced and will normally attract a higher premium as they may also be young i.e. between seventeen (17) to twenty-five (25) years old. However, consideration can be given on an accommodation basis if they have successfully completed a defensive driving course as this awareness should result in more care being taken on the roads. Otherwise, they should be declined or referred to a Team Leader or Manager for approval.

Drivers > 70 years old

If these drivers have always been insured with GGIL, they cannot be declined solely because of their age.

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Regular Drivers

Full particulars must be obtained about all regular drivers (other than the insured) to determine the greatest hazard and to underwrite the policy in relation to the highest risk or to apply special terms for that driver. An "Other Driver" Declaration Form should be completed if the vehicle is used on a daily basis by this driver.

Occupation

The occupation of all drivers is important as certain jobs require long hours and extensive use of the vehicle under varying conditions that increase exposure to losses. High risk occupations should be avoided (see Appendix) and if they must be considered, appropriate Terms and Conditions must be applied.

Question 2

Do you have other insurance(s) with Guardian Group?

If the proposer already has motor vehicle or other insurances with GGIL, consideration can be made on an accommodation basis if the risk may otherwise have been declined e.g. a young inexperienced driver. A discount on the premium can also be granted if the insured has business with the company with no claims.

Question 3

Young driver/s information and driver's permit details

This information particularly relates to young and/or inexperienced drivers and is required to determine the driving experience of these drivers to ensure that the risk is properly underwritten.

Question 4

Have you been driving a motor vehicle regularly during the past twelve months?

If the insured has not been driving, it could mean that he/she was ill and is/was on medication or other situation that may need to be carefully underwritten so details must be obtained as to the reason. It may very well be that the person was working abroad and there was no need to drive.

Question 5

MOTOR VEHICLE PARTICULARS

Registration -

Vehicle registration plates in Trinidad and Tobago are categorized using prefixes based on the type of vehicle and feature up to four digits and are supposed to be "white letters and numbers on a black surface".

Each registration number begins with a letter which designates the type of vehicle and follow:-

- P - Private vehicle (Non-Commercial)
- D - Demonstration vehicle (Used by car dealers when prospective owners want to test drive a vehicle)
- R - Rental vehicle
- H - Vehicles that are plying for hire e.g. taxis and buses
- V - Visitor vehicle (the vehicle is temporarily in the country)
- X - Vehicles that are not on wheels e.g. cranes, pavers etc
- T - Transportation vehicles e.g. pickup trucks, lorries

Plates for each type are issued in alphabetical order, with the letters I, Q, and V excluded so as to avoid conflict with 1, O and diplomatic including the military and coast guard initials.

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There are some special plates for the President (Coat of Arms), The Prime Minister (PM1) and for certain high ranking officials of the protective services like the Defense Force and the Coast Guard.

Identification Marks - The identification marks of the vehicles i.e. make and model, manufacturer, body type, engine number, chassis number and registration marks are critically important and should be verified by requesting sight of the certified copy of ownership which should be copied and placed on the file.

Private Vehicles – Private motor vehicles that are registered with a “P” license plate and used for private purposes are the risks usually underwritten under our Private Motor policy. However, as many private vehicle owners also use pickups that are licensed with a “T” registration plate for their private purposes.

GGIL will accept vehicles with a “T” license plate under its private motor vehicle policy. The proposer/insured will however have to sign a declaration that the vehicle will not be used for the carriage of goods in connection with any business or trade before the risk is accepted.

GGIL also offer several types of motor coverage for the other types of vehicles licensed in Trinidad and Tobago.

Use of Vehicle – The use to which the vehicle will be put is of great importance as it impacts significantly on the rating. It will also determine the type of insurance certificate that will be issued. This is because a vehicle that is used for social, domestic and pleasure purposes is seen as a less risky proposition than a vehicle used for business purposes which is likely to be on the road for longer periods and very likely, hustling.

General Condition - The general condition and roadworthiness of the vehicle must be acceptable. All vehicles should be physically inspected as far as is practicable to ensure that they are in a proper state of repair and properly maintained.

Age Of Vehicle - When a vehicle reaches a certain age there may be grounds for reducing or withdrawing cover all together. In addition, vehicle models with parts that are difficult to obtain and older vehicles should be avoided. A further problem relates to the increased risk of theft when replacement parts for certain vehicles are not easy to obtain.

Vehicles up to twelve (12) years old can be accepted for Comprehensive cover after which Third Party Only cover should be given. There may however be cases where a loyal customer may request cover for an older vehicle and this can be considered once an acceptable valuation is obtained.

Valuations - The Sum Insured for Comprehensive or Fire & Theft cover must represent fair market value at all times. In cases of doubt regarding the proposed present market value, a written valuation from the motor dealer or an approved valuator should be requested and retained on the file.

Mandatory Government Inspections –

Private Vehicles - Government inspections are mandatory in Trinidad for vehicles over five years old and proof of these inspections should be retained for our files although we should still reserve the right to inspect the vehicle.

If the vehicle is inspected and does not satisfy all the criteria, cover should not be given or continued until all the defects have been remedied.

Depending on the defect however, a cover note for a period of not more than seven (7) days may be issued to enable the insured to correct the defects and to bring the vehicle back for re-inspection.

Commercial Vehicles – These vehicles are inspected by the Licensing Office annually and a Certificate of roadworthiness is issued. GGIL reserves the right to request a copy of the Certificate and a Certificate of Insurance should not be issued if a vehicle has not passed the inspection.

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Accessories/Special Paint/Graphics - All accessories added to a 'stock' vehicle by the owner must be declared and their values included in the overall sum insured. It must be noted that vehicles fitted with too many accessories especially with high valued electronic equipment will become a target risk for theft losses and should be avoided. Special paint works/advertising/graphics must be declared and included in the Sum insured.

Unpopular Makes and Models - There is no recognized local dealership in the territory for these vehicles. It therefore means that own damage cover must be avoided as spare parts, proper repair capabilities and other related facilities would not be easily available.

Question 6

Has your motor vehicle been modified in any way or fitted with oversized tyres or a high performance engine or equipment?

Sports Cars/High Performance Vehicles

Sports cars, high performance vehicles and vehicles whose engines have been modified or supercharged, should be avoided unless there is a compelling reason to write them. These cases should be referred to the Manager for guidance.

The table below lists High Performance Vehicles currently available in the Trinidad market. It is important to note this listing is not exhaustive and should be updated periodically.

High Performance Vehicles Listing as at 2024

Vehicle Brand	Model
Audi	S3, S4, S5, S6, S7, S8, A5, A7,A8, TT
BMW	Any Model which carries the M Badge M2, M3, M4, M5, M6, X5, X6, X7,Z4, 4 Series, 6 Series, 7 Series
Chevrolet	Corvette (Available on Special Order Only)
Ford	Mustang, Focus RS
Honda	Civic Type R
Jaguar	XE, XF, XJ, F-Type, E-Pace, F-Pace, I Pace
Jeep	Grand Cherokee SRT, Gladiator
Land Rover	Range Rover Sport, Range Rover, HSE 7 Seater, Range Rover Velar
Mercedes Benz	Any model which carries the AMG Badge AMG A, AMG B, AMG C Coupe Sedan Convertible Station Wagon, AMG GLA, AMG GLB, AMG GLC, AMG GLC Coupe, AMG E Sedan Station Wagon, AMG S Sedan Coupe/ Convertible, CLS, GLC, GLE, Maybach 62
Mitsubishi	Evolution - Model is now discontinued
Nissan	Skyline GTR / Nismo, Fairlady Z (Special Order Only)
Porsche	Cayenne, Macan, Macan S, Panamera, Boxster, Cayman, 911
Subaru	Impreza WRX / WRX STI

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Full Electric Listing as at 2024	
Vehicles Available Via Showroom or Special Orders / Importation	
Hyundai	Ioniq Full Electric, Ioniq 5
Tesla	Model X, Model 3, Model S, Model Y
Audi	E-Tron (Applies to Q4 , Q8, GT)
BMW	I3, I4, I5, IX, I7
Jaguar	I Pace
Nissan	Leaf, e-NV200
Volvo	XC40
MG	ZS
Mercedes Benz	EQA, EQB, EQE
Great Wall Motor	Ora
BYD	Seal, Yuan, Dolphin
High Performance Vehicle Available on Special Order or Self Import (All Models)	
Lamborghini, Ferrari, Rolls Royce, Bentley, McLaren, Bugatti, Koenigsegg	

Question 7

- (a) Is your motor vehicle new, second hand or foreign used?

Motor dealers are now importing foreign used vehicles from Japan and other Far East countries and it is difficult to ascertain whether a vehicle was bought new from a manufacturer or was purchased second hand or is a foreign used vehicle that has been imported into the country by a used car dealer. This information is necessary to determine the age of the vehicle, the loss history of the vehicle and whether parts are available if the vehicle suffers damage.

- (b) Is it registered in your name?

A vehicle can be registered in the name of a person who does not drive it and may be regularly driven by another person.

- (c) Is it left hand drive?

In Trinidad and Tobago, motorists drive on the left-hand side of the road and vehicles are usually right hand drive so drivers who are not accustomed to driving a left hand drive vehicle will experience challenges.

- (d) Will the vehicle be used to draw any trailer?

The pulling of heavy loads can cause structural damage to any vehicle that is not designed to carry a trailer. The agent/underwriter needs to know if the proposer intends to tow a trailer regularly as severe wear and tear can result from regular towing of a trailer depending on the structural body strength, road conditions and speed of the vehicle. This must be noted on the policy and be referred to Team Leader/ Manager or Head Office for acceptance.

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(e) Is it the subject of a hire purchase or mortgage agreement?

The insurer must have all information pertaining to hire purchase or mortgage or lease agreements so that all correspondence pertaining to the insurance can be sent to the finance company and in the case of a claim, the proceeds will be paid to the finance company.

Question 8

Is your motor vehicle in good condition and repair and will it be kept so?

This question is very important as it is critical that a vehicle is continuously well maintained and road worthy to ensure that it does not cause accidents due to mechanical problems like faulty brakes etc.

Once the answer is no, the risk must be declined.

Question 9

Is your motor vehicle fitted with an anti-theft device?

An anti-theft device is a deterrent to thieves and a discount is given once the device is in working condition. The list of acceptable anti-theft devices is attached for your easy reference.

Question 10

Where will your motor vehicle be kept (in your answer please indicate whether the vehicle is in a locked garage, or open carport within a fenced and locked area, or otherwise during the night?

It is important to secure the motor vehicle at all times as an unsecured vehicle is at great risk of being stolen. The company therefore gives a discount to vehicles that have an approved anti-theft device in proper working condition.

If a vehicle is a model that is at high risk of being stolen and it does not have an anti-theft device, only third party cover will be offered to the insured. A list of approved devices is attached for easy reference and can be found under 3.2.1 Anti-Theft Devices – Private Cars.

The number of vehicles at the premises is important as premises with a large number of vehicles and no security will normally be a haven for thefts and burglaries especially if the parts for the vehicles are in demand or the make or model is attractive to thieves. Vehicles that are parked in a secured compound are at less risk of being stolen and this would be taken into consideration by the underwriter.

Question 11

Have you, or has anyone who will drive your motor vehicle, ever suffered from defective vision, hearing, epilepsy or any other physical disability or infirmity?

Physical disabilities of insured/other drivers

If a driver suffers from a physical disability, he/she should use corrective aids e.g. corrective lenses for defective vision. Disabilities are usually recorded on the driver's permit but discretion and good judgement must always be exercised as a lot of drivers use corrective aids. However, a note must be placed on the file to indicate that the underwriter was aware of the disability as the personal accident cover, if applicable, may have to be modified or removed depending on the disability.

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If the person has a severe physical disability e.g. the loss of a limb, the legislation in the territory will require that the private motor vehicle must have signage to this effect so that other road users will be aware of the need to be cautious because of the driver's disability.

Question 12

Have you, or has anyone who will drive your motor vehicle, ever been convicted of any offence or traffic violations or have any prosecution pending?

Previous Convictions

If any driver has previous convictions, full details must be obtained and the risk must be either declined or underwritten depending on the nature of the conviction. Any conviction relating to illegal or illicit activities e.g. drugs, contraband operations and the like must be declined. Traffic offences or violations may be reflected by demerit points against the persons drivers permit.

Pending Prosecutions

The method outlined under previous convictions apply to this area as well.

A 'pending prosecution' is defined for the purposes of this guide as:

- having been arrested or charged in respect of one or more criminal offences and one or more of these offences has not been disposed of either by the police or the courts
- is the subject of a live investigation by the police for a suspected offence
- has been convicted of an offence but has subsequently appealed that conviction and the appeal proceedings have not concluded

Question 13

Have you ever insured a motor vehicle in your name?

Checks can be made with previous insurers to confirm previous insurance history. Where a risk has been declined/cancelled by another insurer, it must be avoided unless there is a compelling reason to offer terms. Special terms and conditions imposed by a former insurer must be considered in the development of our terms. If there are any unexplained gaps in insurance cover, the risk must be declined.

Question 14

Has any insurer ever declined your proposal or cancelled your policy, increased your premium or imposed special conditions on your policy, refused to continue or renew your policy?

If the answer to this question is Yes, details must be obtained from the previous insurer as it is more than likely that the risk should be declined.

If special terms were given by a previous insurer, this must be taken into account if there are compelling reasons why we want to offer cover.

Question 15

Have you, or has anyone who will drive your motor vehicle ever had any losses including Total losses or made any claims (including windscreen damage claims) during the past three years in connection with this or any other motor vehicle?

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Previous Losses/Claims History

With regard to New Business, where it is evident from the Proposal Form that there is an unsatisfactory history of frequent losses and /or claims within three years prior to the proposal being made, the risk should be declined unless there is some other compelling reason to accept. Terms and Conditions will depend on the circumstances on a case by case basis. The Terms should be no less onerous than those imposed by the current insurer.

In reviewing a policy at renewal, an underwriter must review the claims experience of the expiring period. If the experience has been satisfactory, renewal will be invited. Where the experience has been unsatisfactory, the claim(s) must be investigated. Care must be taken in analyzing the claim(s) as some drivers may cause an accident even if they are not considered to be liable for a claim. These situations must be referred to a Team Leader or Manager for terms and conditions.

Loss Ratios

In order that the motor portfolio is profitable, we consider a loss ratio of less than 55% to be acceptable. The loss ratio is calculated by expressing the total claims paid and/or outstanding within a given period as a percentage of the total earned premium income for the same period.

Question 16

Will your motor vehicle be used for any purpose in connection with a business or trade, for racing pace making, speed testing, competitions, rallies or trials, the carriage of passengers for hire or reward or only for social, domestic and pleasure purposes and for travelling to and from your place of business?

The use to which the vehicle will be put is of great importance as this significantly impacts the rating. Private motor policies only cover social, domestic and pleasure purposes.

Once the vehicle is to be used for any other type of activity, the risk must be declined under the private motor policy.

Question 17

Type of cover required

The following alternative forms of cover are available.

Comprehensive -	Liability for injury to third parties, damage to property of third parties, and loss of or damage to the insured's vehicle
Third Party Fire and Theft -	Liability for injury to third parties and damage to property of third parties and loss of or damage to the insured's vehicle by fire or theft
Third Party-	Liability for injury to third parties and damage to property of third parties

Age Limit for Coverage

As a general rule, Comprehensive cover may be given on private vehicles up to 12 years old and may be subject to a valuation. However, once the vehicle has passed five (5) years, a Government inspection should be done and is valid for two years.

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Fire and Theft cover may be given on private vehicles up to 12 years old and may be subject to a valuation. However, once the vehicle has passed five (5) years, a Government inspection should be done and is valid for two years.

Comprehensive and/or Fire & Theft cover for our valued customers may be given on vehicles which have passed the above mentioned age limits provided that they have been certified by one of our approved valuers to be in exceptional condition.

Third Party Only cover may be given on all private vehicles up to 20 years old. However, the vehicles must be inspected at each renewal to ensure that they are being well maintained in a road worthy condition.

In an exceptional case where a long standing insured has a vehicle which is in excess of twenty (20) years, special consideration may be given.

Question 18

Period of insurance

Motor policies are usually for a term of twelve (12) months and cannot be backdated. It is illegal to issue a new motor policy for less than six months so any such requests must be declined or referred to Head Office.

In instances where there is an existing policy and the Insured requires a new business to be issued to the same expiry date of the said existing policy and it turns out to be less than 6 months, the preferred option is to effect the new business for a year and upon renewal the expiry date will be extended to fall in line with the existing policy.

Another option which is available at the Underwriter's discretion is to issue the new business for 6 months and upon renewal the expiry date will be extended to fall in line with the existing policy.

Cover notes can be issued to provide an insured with evidence of cover prior to the issuing of the Certificate of Insurance and Policy.

A completed Proposal Form must have been accepted and the premium paid. The Cover Note must be numbered and issued in accordance with the law. It must not be issued for more than thirty (30) consecutive days.

Question 19

Optional Extra Benefits

Do you wish to extend the policy to include:-

- a) Loss damage and/or liability arising from flood typhoon hurricane windstorm tornado earthquake volcanic eruption or any other convulsion of nature.
- b) Windscreen and ALL glass damage.
- c) Windscreen Front And Back glass damage only (Third Party cover only)
- d) Personal Accident Benefit to un-named Passengers (between ages 17 and 65) for the full seating capacity of the vehicle.
- e) Courtesy Car/Loss of Use or Hospitalisation Benefits.
- f) Agreed Depreciation (pre- Agreed Depreciation for Total Losses).
- g) Hospitalization
- h) Excess Waiver
- i) Mechanical Repair Benefit
- j) Survivors Benefit

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The aforementioned additional covers can be added to standard policies. In some cases, an additional premium is charged for the required benefit.

Underwriters/agents must explain these covers to the insureds and guide them accordingly as to which covers are beneficial and tailored to their individual need.

Special Perils (Comprehensive Policies Only)

The perils of flood, hurricane and earthquake are excluded under a standard comprehensive policy. However, these perils can be covered at additional premiums. These premiums are subject to applicable discounts and claims are subject to applicable deductibles. Extra care should be taken when considering flood cover for proposers who live/work in areas subject to flooding as cover should not be given unless the vehicle is to be garaged on a high level.

Windscreen and ALL glass damage (Comprehensive and Fire & Theft policies)

The term windscreen refers to the front glass, rear glass, door windows and quarter glass in addition to the sun roof and moon roof, where applicable. If this Optional Extra Benefit is not purchased, damage to the windscreen is not covered under a standard private motor policy unless it results from an accident in which the vehicle is also damaged.

This extension gives cover for breakage of windscreen and other glass damage in cases where the vehicle itself is not involved in an accident. A claim under this extension does not affect any discounts that might be given nor is the premium charged for this benefit subject to any discount. The premiums therefore cannot be pro-rated.

The limit of liability on this cover is an aggregate one, and cover will be reinstated free of charge up to a limit of \$2,500.00 after the first claim during any one (1) period of insurance. Reinstatements for amounts in excess of \$2,500 can be made upon payment of the appropriate premium.

Windscreen Front And Back glass damage only (Third Party only) –OEB 11

Insureds have the option to buy windscreen coverage for front and back windscreens only on vehicles covered for Third party. It is open to Private and Private use pick up policies inclusive of group schemes via all contract categories.

The claim will not be subject to any Excess and will not affect the No Claim Discount.

There are 3 limits available with corresponding premiums as follows:-

Limit	Premium
\$1,500	\$250
\$2,500	\$350
\$3,500	\$500

Effective 04 September 2020, 3 additional tiers of windscreen limits were included as follows:

Limit	Premium
\$5,000	\$650
\$7,500	\$850
\$10,000	\$1,150

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If a claim is made for repair, the limit is reduced. If a claim is made for replacement the cover ceases.

There are no free reinstatements or mid-term reinstatements. Cover can only be reinstated at renewal subject to the appropriate premium charge.

It was agreed not to include the wording in the policy document as it may be subject to change dependent on the results achieved. Therefore if an Insured opts to purchase the benefit, it will be displayed on the schedule as an **endorsement** with the following wording:-

*It is hereby understood and agreed that OEB 11 is added to section 5 **Optional Extra Benefits** of the policy.*
If the only damage sustained is a cracked or broken front or back windscreen:

- (a) **We** will indemnify **You** in respect of such damage up to the Limit specified in the **Schedule** for this Optional Extra Benefit (referred to by Number) and
- (b) The claim will not be subject to any **Excess** and will not affect the **No Claim Discount**.

Where the damage is repaired the **Limits of Liability** will be reduced by the amount paid in respect of such damage for any one **Period of Insurance**.

Where the damage is made good by replacement the cover will cease. This benefit will be subject to reinstatement only at the renewal of the policy.

Personal accident benefit to unnamed passengers (Private vehicle only, all cover types)

The standard Comprehensive policy offers a limited amount of personal accident cover to the insured and spouse only. However, the policy can be extended to give personal accident cover to passengers (named or unnamed) in the insured's vehicle for an additional premium. The sum insured for these passengers are negotiable but should never exceed that of the Insured.

It must be remembered that this cover is an 'add-on' to a motor policy and only modest limits should be offered.

Insureds who seek large limits under this extension should be advised to effect a personal accident policy. This cover is a 'benefit' cover and is payable regardless of liability for the accident giving rise to the injury.

Courtesy Car/Loss of Use Allowance (Only for Comprehensive cover)

This additional benefit will, subject to the Limits of Liability, provide the insured with the use of a courtesy vehicle in the event that the insured vehicle is disabled by reason of loss or damage covered under the policy, or alternatively will pay up to \$250 per day towards the cost of the rental of a vehicle from a registered vehicle rental company.

The standard maximum is 10 days or \$2,500 per policy period.

Courtesy Vehicles are not allowed for Private Use Pick-Ups. Instead, the Insured can opt to purchase Alternative Vehicle Allowance and will be paid up to \$250 per day. The standard maximum is 10 days or \$2,500 per policy period.

Agreed Depreciation Policy

An insured may elect to choose an Agreed Depreciation Policy as opposed to the standard Indemnity Policy. This is subject to a condition and valuation inspection by one of our approved inspectors/valuators.

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The advantage of this policy is that the rate of depreciation of the insured vehicle is pre-determined at inception and guaranteed at that figure throughout that period of insurance. In the event of a total loss, the claim is settled at the sum insured less the agreed rate of depreciation, pro-rated depending on when the loss occurred, less the applicable excess.

Hospitalization

A separate Health Questionnaire must be completed by the insured in order to access this benefit.

This benefit provides reimbursement of expenses to the insured person following hospitalization arising out of injury or sickness up to a maximum of \$15,000 per 12 month period.

The benefits are payable where the insured person is confined as an in-patient in a hospital or nursing home on the advice of and under the regular care and attention of a physician for a period of at least eighteen (18) consecutive hours.

Benefits are reduced by 50% at age 65 and ceases at age 70.

Where another policy of insurance is in existence which provides benefits also covered by this Policy, all claims will be made in the first instance against the other policy and this Policy shall only provide benefits when such benefits as payable under the other policy have been exhausted.

Claims arising from pre-existing medical conditions are not covered.
There are a number of specific exclusions.

Increased Legal Expenses – Manslaughter – this question is no longer on the proposal form, however an insured may request same.

Limits over and above Standard Limits are available at the request of the proposer/insured for additional premium. All such request must be considered on a case by case basis.

Waiver of Excess

This benefit was implemented 10th April 2019 and updated on May 1st 2024 –OEB 09
Option 2 & 3 below were introduced in May 2024.

This optional extra benefit protects you against any excess charges you may incur in respect of the first claim only resulting from accidental collision, overturning or impact during any one Period of Insurance.
The waiver of excess does not apply if the vehicle is being driven by an Undeclared authorized driver who is under the age of twenty five or who is the holder of a learner's permit or who is the holder of a driving permit which has been in force for less than two years.

Once this benefit is chosen the following wording will print on the schedule and is applicable to Private and Private Use Pick up Comprehensive cover. Premium is charged per risk.

Option 1 – Waiver of Excess all authorised Drivers (WEX)

Applicable to authorised drivers ONLY over the age of 25 and driving for more than 2 years.

It is agreed that in respect of the first claim only resulting from accidental collision, overturning or impact during any one Period of Insurance We shall waive the applicable Excess provided that the Authorised Driver is over the age of 25 years and is the holder of a driving permit which has been in force for 2 or more years.

RATE: 0.35% of the Sum Insured

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Option 2 – Waiver of Excess Insured & Spouse ONLY (WIS)

Applicable to Insured and Spouse ONLY who are over the age of 25 years and driving over 2 years

It is agreed that in respect of the first claim only resulting from accidental collision, overturning or impact during any one Period of Insurance We shall waive the applicable Excess provided that the Insured or their Spouse is the authorised driver over the age of 25 years and is the holder of a driving permit which has been in force for 2 or more years.

RATE: 0.25% of the Sum Insured

Option 3 – Waiver of Excess Authorised & Declared Young Drivers (WYD)

Applicable to all authorised drivers, including declared young/inexperienced drivers

It is agreed that in respect of the first claim only resulting from accidental collision, overturning or impact during any one Period of Insurance We shall waive the applicable Excess.

However We shall not waive the applicable Excess if the Insured vehicle is being driven by any undeclared Authorised Driver who is under the age of twenty-five years or who is the holder of a learner's permit or who is the holder of a driving permit which has been in force for less than two years.

RATE: 0.50% of the Sum Insured

Waiver of Excess Benefit	Webstar Endorsement Codes	Premium Calculation
<i>Waiver of Excess all authorised Drivers ONLY</i>	WEX	0.35% x Sum Insured
<i>Waiver of Excess Insured & Spouse ONLY</i>	WIS	0.25% x Sum Insured
<i>Waiver of Excess Authorised and Declared Young Drivers</i>	WYD	0.50% x Sum Insured

A minimum (non-refundable) premium of **TT\$500.00** is applicable for this benefit even if coverage ceases during the policy period. This cover is not subject to any special discounts or No Claim Discounts. Premium is charged per risk.

Mechanical Repair Coverage– this benefit was implemented 1st June 2020 –OEB 10

This Optional Extra benefit is available to new and foreign used vehicles 1 to 7 years old, Private Comprehensive cover only via all contract categories inclusive of Private use Pick up. The intention is to grant the benefit to individuals but if there is a policy in a company's name with vehicles assigned to individuals for private use, the benefit can be offered. The main purpose is to cover trips to the mechanic **not** as a result of accident or collision nor as a result of wear and tear. The benefit covers the cost of repairs associated with major vehicle failures. (**Eg:** If a part in the engine fails because of wear & tear we will NOT pay for that part, BUT if because of that failure another component in the engine is damaged then that would be covered.)

There are 3 levels of cover each with its own premium and excess as follows:-

MBC Benefit	Premium	Coverage Amount	Deductible
MBC 1-Level 1 (Silver)	\$500.00	\$ 3,000.00	\$ 300.00
MBC 2-Level 2 (Gold)	\$1,000.00	\$ 5,000.00	\$ 500.00

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MBC 3-Level 3 (Platinum)	\$1,300.00	\$	8,000.00	\$	800.00
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It was agreed not to include the wording in the policy document as it may be subject to change dependent on the results achieved. Therefore if an Insured opts to purchase the benefit, it will be displayed on the schedule as an **endorsement** with the following wording:-

It is hereby understood and agreed that the following is added to Section 5 Optional Extra Benefits of the Policy

We will indemnify **You** for a mechanical part of the **Insured Vehicle** which ceases to perform the function for which it was designed due to the failure of another major mechanical part. For example, if a major part in the engine fails because of wear and tear **We** will NOT pay for that part, BUT should another part of the engine become damaged due to that failure then at **Our** option **We** will repair or replace that part with a comparable one of similar type and at the reasonable market cost.

Where the damage is repaired the **Limits of Liability** will be the amount stated in the **Schedule** against this endorsement number or the amount stated on the receipt for repair whichever is the lesser amount, subject to the applicable **Excess**.

The claim will not affect the **No Claim Discount**.

If the benefit amount as stated in the **Schedule** is not utilised upon the expiry date of the policy the benefit will expire.

This benefit is subject to **You** providing **Us** with copies of the vehicles service records at the time of making a claim.

We will NOT be liable for:

- i. Any claims caused by pre-existing mechanical faults
- ii. Any claims arising as the result of an accident
- iii. Loss or damage caused by wear and tear
- iv. Regular maintenance services such as tune-ups, suspension alignment, wheel balancing, filters, lubrication, coolant and fluids, spark plugs, brake pads and linings, brake shoes, tires and similar types of services and parts
- v. Repairs made necessary by intentional damage, corrosion, misuse, or improper maintenance
- vi. Any claims for body structure and parts (e.g. trim, moulding, glass, paint etc.)
- vii. Any claim whilst the Insured vehicle is within the warranty period from the car dealership.
- viii. Any claims within three months from inception date of the Policy.
- ix. Any claims for mechanical damage as a result of modification of the vehicle from the manufacturer's specifications.

The benefit is on a reducing balance basis so it can be claimed until the limit is exhausted. In this scenario the excess is payable at the time of the first claim and no excess is due for claims on the residual limit. There is also the option to reinstate during the policy period subject to payment of an additional premium once the full limit has been utilized. Based on the level selected, there is a corresponding listing of parts which qualify for replacement and can be accessed via attached PDF Brochure:



Guardian General
MBC Brochure back-fr

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Survivors Benefit – this benefit was implemented 8th January 2021 –OEB 12

This benefit is offered to all Private Individuals (including Private use Pick-Ups) with Comprehensive cover. The premium is a flat charge which means no discounts are applied.

Premiums:-

Insureds ages 17 to 49 -	\$300
Insureds ages 50 to 60 -	\$400
Insureds ages 61 to 64 -	\$750

Mid-policy transactions

Cover cannot be attached mid-policy. The benefit can only be purchased at new business or renewal.

Cancellations/deletions

In the event of cancellations or deletions the premium will be refunded based on the applicable short-period or pro-rata amounts. However, if the policy is cancelled due to the death of the insured and there is a valid claim then no refund will be granted. If there is a policy with more than 1 risk and the risk with the Survivor's benefit is being deleted, then the benefit should be 'transferred' to one of the remaining Comprehensive risks once the cover is to be maintained.

The limit is \$20,000 and once a claim is paid, the cover cannot be bought back/reinstated **except** in cases where the policy is in joint names. In this scenario if one insured dies the benefit will be paid to **their** appointed beneficiary/ies and if the surviving insured wishes, he/she can have the cover reinstated **at renewal** subject to the applicable premium being paid. If both insureds die at the same time and they listed multiple beneficiaries then the limit of \$20,000 will be split equally among the said beneficiaries.

It was agreed not to include the wording in the policy document as it may be subject to change dependent on the results achieved. Therefore if an Insured opts to purchase the benefit, it will be displayed on the schedule as an **endorsement** with the following wording:-

If You die during the Period of Insurance stated on the Policy Schedule We will pay to Your named beneficiary/ies the Limit for this benefit specified in the Schedule (the Survivor's Benefit) PROVIDED THAT;

- (a) the Survivor's Benefit will be payable under one Policy only. If you have more than one motor policy which contains the Survivor's Benefit with us We will pay on one policy only whichever has the higher Survivor's Benefit. This exclusion does not apply to the death benefit under Section 4 (3) Personal Accident of your Motor Policy;*
- (b) no benefit will be payable in respect of death directly or indirectly wholly or in part arising or resulting from or traceable to intentional self-injury suicide or attempted suicide (whether felonious or not) physical disability or infirmity or an accident happening while You were under the influence of intoxicating liquor or drugs or in a state of insanity;*
- (c) the maximum amount payable during any one period of insurance will be 100% of the Limit;*
- (d) in the event of joint insured the maximum amount payable during any one Period of Insurance will be 100% of the Limit;*
- (e) this cover excludes death due to any outbreak, epidemic or pandemic of disease and the Human Immunodeficiency Virus/Acquired Immunodeficiency Syndrome (HIV/AIDS);*

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- (f) *this benefit will be payable only in respect of death of insured persons between the ages of seventeen (17) and sixty-four (64).*

ELIGIBILITY

Coverage is applicable to the policyholder between the ages of seventeen (17) and sixty-four (64) years of age.

BENEFICIARY/IES

The Survivor's Benefit shall be payable to the person/s designated by You as Your Beneficiary/ies on a duly completed beneficiary form that is furnished by You and is satisfactory to Us.

You may, from time to time and without the consent of your Beneficiary/ies, change the Beneficiary/ies by filing written notice of the change on a form furnished by Us. The new designation shall take effect on the date the notice was signed, but without any prejudice to Us whatsoever on account of any payment made by Us on the basis of Our records at the time such payment is made.

Any amount of Insurance for which there is no Beneficiary at the time of Your death shall be payable to Your estate.

Notice of Claim: Written notice of an occurrence upon which a claim under this Policy may be based must be given to Us within sixty (60) days of such occurrence. Such notice given by or on behalf of the Beneficiary to Us together with your death certificate and such other sufficient information to identify the Insured, shall be deemed to be notice to Us.

Proof of Loss: We will furnish forms for filing proof of the claim. These forms must be completed and returned to Us within ninety (90) days after the date of the death of the Insured. Failure to furnish notice or proof of death within the time limits specified herein required above shall not invalidate or reduce any claim if it is proven to Our satisfaction that it was not reasonably possible to give such notice or proof and that same was done as soon as was reasonably possible.

Examinations: We shall have the right and opportunity through our duly qualified representatives to investigate the circumstances of death, to request an appropriate examination of the deceased Insured's body and unless prohibited by law, to request or order an autopsy either before or after burial.

Payment of Claim: Any for loss of Your life is payable to Your beneficiary/ ies in accordance with the duly completed beneficiary form and the provisions of the Policy.

6.6 Declaration

The Proposal Form should be completed by or on behalf of the insured. It must be properly completed and all the questions must be answered. If the insured is a company, the company's stamp must be affixed to the signature on the Form and dated at the time the Form is signed.

The declaration states that the proposal is the basis of the contract and that the insured warrants the truth of the answers contained therein so that any misrepresentation is in breach of the contract and renders it voidable.

7. UNDERSTANDING THE PRIVATE MOTOR POLICY

The heading gives the company's name/address/contact details for easy identification and information.

The Preamble follows and is the introduction to the contract. It states basic particulars e.g. the parties involved and the documents that are incorporated in and form part of the contract e.g. the Proposal Form, Certificate of Insurance and Schedule. This page is signed by GGIL's President.

Section 1

Is a list of **Definitions** to assist the insured in the interpretation of the wording and the meaning of the terms used in the policy.

Section 2

Details the following benefits that are provided up to the Limits of Liability when there is loss or damage to the insured's vehicle. These benefits are subject to certain provisions.

It also details the claim settlement and stipulates that settlement must be made to any mortgagee/lessee that is noted on the policy.

- Indemnity to the Insured - compensation for the damage to the insured's vehicle
- Protection and Removal - reimbursement of cost to move the vehicle to a safe place
- Claim Settlement - handling of a loss or damage

Exclusions to Section 2 defines the loss or damage that is not insured under Section 2 of the policy

Section 3

Details the benefits that are provided when there is loss or damage to third parties and or their property arising out of the use of the insured's vehicle, subject to certain provisions and exceptions.

- | | |
|---|---|
| • Indemnity to the insured | Payments which the insured becomes legally liable to pay in respect of death of/bodily injury to a third party/damage to property |
| • Indemnity to other persons | Payments which any authorised driver/user of the insured's vehicle becomes legally liable to pay in respect of the death of or bodily injury to any third party or damage to property |
| • Legal costs | GGIL will arrange for any legal representation and pay all costs and expenses incurred with their written consent |
| • Indemnity to Legal Personal Representatives | This applies on the death of a third party and the deceased's Legal Personal Representatives will be indemnified |
| • Legal Expenses Manslaughter | This is a legal expense that will be paid in manslaughter cases |
| • Application of the Limits of Liability | This is an explanation of how the Limits of Liability will apply when the accident involves indemnity to more than one person. |
| • Right of recovery | GGIL's right to recover monies from the insured that have been paid to comply with the law but they are not covered |

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by the policy

- **Emergency Treatment** Indemnity for any person using the insured vehicle against liability to pay for emergency treatment for injuries caused by or arising out of its use. This is a legislative requirement.
- **Payment - Third Party Limit** GGIL's option to pay the insured/claimant the Limit of Liability and relinquish the conduct of any defense settlement or proceedings

Section 4

Deals with the following additional benefits covered by the policy subject to Limits of Liability

- **Damage to garage by fire** – payment if your garage is destroyed by fire and is not insured
- **Medical Expenses** - payment for medical expenses arising from bodily injury from an accident
- **Personal Accident Benefit** to the insured and spouse as detailed in the policy – payments for bodily injury to the insured and spouse as a result of an accident and subject to certain provisions
- **Luggage and Personal Effects** – payment for loss or damage to luggage and personal effects resulting from an accident subject to certain Exclusions
- **Motor Traders Clause** – cover while the vehicle is in the custody or control of a member of the motor trade subject to any Limitations as to Use
Effective 10 October 2019 the underwriting guide was updated to include 'Replacement keys' and 'Child car seat' which came into effective December 2016.
- **Replacement keys** – payment for keys, lock transmitters, entry cards or keyless entry system if lost or damaged
- **Child Car Seat** – payment for car seat once the insured vehicle is subject to a claim under Section 2 of the policy

Section 5

Covers the following Optional Extra Benefits which can be purchased at additional premiums.

- **Special Perils - flood, hurricane, windstorm, earthquake, volcanic eruption or any other convulsion of nature**
- **Windscreen and all Glass Damage** – front glass, rear glass, side windows, door windows, quarter glasses, moon roof and sun roof
- **Personal Accident Benefit** to un-named passengers – the benefit is for persons other than the insured or anyone in his employ suffering damage out of the use of the insured's vehicle
- **Courtesy Car/Loss of Use Allowance** – the loan of a courtesy car for ten(10) days or an allowance for the inconvenience of losing the use of the insured's vehicle while it is undergoing repairs
- **Agreed Depreciation** – the option to do a valuation and insure your vehicle at an agreed depreciation. In the event of a total loss, the claim is settled at the sum insured less the agreed rate of depreciation, pro-rated depending on when the loss occurred, less the applicable excess.
- **Hospitalization** - This benefit provides reimbursement of expenses to the insured person following hospitalization arising out of injury or sickness up to a maximum of \$15,000 per 12 month period subject to certain conditions and exclusions.
- **Increased Legal Expenses re Manslaughter** – Limits in excess of normal policy limits are purchased
- **Increased Third Party Limits of Liability** – Limits in excess of normal policy limits are purchased

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Section 6

Stipulates the No Claim Discounts offered under the policy and how they are applied.

7.1 NO CLAIM DISCOUNTS

A No Claim Discount is a premium discount which is given off the renewal premium which is earned by the insured upon renewal. The discount is in respect of each vehicle which has been insured for a full year immediately prior to renewal, provided no claim has been made or is pending, subject to the following rules:

1. The discount goes with the insured and each vehicle separately and NOT with the policy. However, an Insured is entitled to transfer his/her discount to his/her spouse.
2. Where a policy is not renewed immediately, the discount may be held over a period of up to twenty four (24) months from the expiry date of the policy.
3. The equivalent of a discount earned on a commercial vehicle may be transferred to a private car and vice versa.
4. Discounts are only allowed on as many vehicles as are insured for the full period to renewal.
5. A discretionary NCD may be allowed to a proposer who has been regularly driving a company vehicle accident free over the past three (3) or more years, provided that evidence in support of his record is obtained from his employer and insurance company.

7.1.1 No Claim Discounts from previous insurers

A No Claim Discount from another insurer would be allowed provided proof of the discount is obtained in the form of:-

- 1) The original renewal notice **or**
- 2) Written confirmation from last insurer indicating the number of years the person was insured free of claims
- 3) The policy has not been lapsed for more than twenty four (24) months.
- 4) Step back discounts from previous insurers will be honored. In cases where a NCD is a protected one from another Insurer, a discretionary NCD may be considered.

7.1.2 Transfer of NCD

NCDs may be transferred from one vehicle to another of the same class e.g. from one private vehicle to another. When transferring between "same" policy types e.g. from private comprehensive to private comprehensive, or from private third party to private third party, the actual value of the discount is transferable. However, when transferring between different policy covers, for example, from third party to comprehensive or vice versa, the value of the "equivalent year" is transferable.

NCD transfers between different vehicle types are also permissible e.g. from private to commercial and vice versa. In this case, the value of the "equivalent year" is transferable. NCDs may not be transferred from a motor cycle to a motor vehicle and vice versa.

NCDs can also be transferred from one insurer to the next. Since the scale of NCDs differs among insurers, care must be taken to ensure that the correct discount is transferred. It is recommended that the "equivalent year" be used.

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7.1.3 Value of No Claim Discount

The value of a No Claim Discount can give some indication as to the general driving experience of the proposer/insured. For example, a maximum discount would suggest at least a four year claim free experience. A “zero” discount for a long standing proposer/insured or perhaps a first or second year discount would suggest that he/she has had one or more recent claims and has lost his/her discount (or has suffered a step back).

Section 7 covers the General Exclusions which apply to the whole policy except as in so far as is necessary to meet the requirements of any legislation and notwithstanding any provision to the contrary within the policy or any endorsement thereto. They clearly stipulate what is excluded from the cover.

Section 8

Deals with the Policy Conditions which are documented and regulate the cover that is provided. The Common Law will insist that certain implied conditions are always read into a contract even if they are not specially mentioned in the document. They are intended to remind the insured of the Common Law provisions e.g. to maintain the vehicle in a roadworthy condition and avoid losses or to outline certain procedures e.g. how to notify the insurer of a claim.

Section 9

Deals with Endorsements which are alterations to the normal policy terms that are peculiar to a particular policy and they are referred to by their numbers in the Schedule.

8. GENERAL UNDERWRITING CONSIDERATIONS

8.1 UNDERWRITING /ACCEPTANCE GUIDELINES

Acceptance limits

Each agent's/broking binder's limits of acceptance for the insured vehicle (Own Damage) and Third Party liability are stated in their agency contract and any proposal or request that exceeds their limits must be referred to Head Office for approval. In these cases, the agents should not provide a quote to a client before a response from the Manager is received but if there is a valid reason for an immediate response, the agent must clearly state that it is subject to approval by the Manager.

The Office of the Chief Technical Officer advises the Operations Lead of the acceptance limits for the various categories of underwriters and if an underwriter is asked to quote on a risk that is outside his/her authority limits, the matter will be referred to his/her upline or the relevant person for approval.

Acceptable business

While GGIL writes a substantial book of private motor insurance business, it is to be noted that most risks are accepted on a regular basis whilst others are underwritten with extreme caution and or on an accommodation basis. There are certain risks which we would prefer not to underwrite at all and these are reflected in the "unacceptable risk" Section of this guide. However, there are instances when risks falling in this category may be considered because of compelling business or other strategic reasons.

Certificate wordings

There are many different types of certificate wordings and care must be taken to ensure that the correct certificate type is used for each case. The certificate type would generally be determined by whether the policy is open or restricted to certain drivers and whether the insured is an individual or a company.

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Schedules

Schedules contain information specific to the individual policy such as Name of Insured, Address, Occupation or business, Period of Insurance, Vehicle Details, etc. They are usually tailored for each class of business and where applicable, must also conform to local Legislation with respect to such things as 'Limits of Liability', 'Authorised Drivers' and 'Limitations as to use'.

Standard premium

A standard premium is one which is generally obtained from the standard Rating Guide and is generally applicable to a standard risk. It contains no 'loading' to recognize adverse risk features neither does it contain 'discounts' to recognize improved risk features.

Sum Insured

The Sum Insured should be revised each year at renewal to reflect the current market value of the vehicle or other value. Claims will usually be settled on an indemnity basis or an agreed depreciation basis. Total losses will be settled on the assessed pre-accident value, provided the Sum Insured is adequate.

Deductible/Excess

A deductible (or excess) is the first amount of a claim which an insured bears for his account. The amount of the deductible/excess is always quantified on the Schedule or in the policy.

Standard deductible/Excess

A standard deductible is the deductible which an insurer considers the 'normal' or 'usual' deductible which is applicable to standard risks.

Nonstandard deductible/Excess

A non-standard deductible/excess is one which is higher or lower than the standard. There are several reasons why a non-standard deductible may be applicable and each case is given consideration.

Voluntary Deductible/Excess

A voluntary deductible/excess is an amount which an insured has consciously elected to bear towards the cost of a claim in consideration for a discounted/reduced premium. The voluntary discount/excess is much higher than the standard excess/deductible that would otherwise be applicable to a policy.

Standard risk

A standard risk is one which is considered normal within its class. It contains no extraordinary adverse risk features within its class neither does it contain any improved risk features over and above the ordinary within its class. Standard risks generally attract standard premiums and standard deductibles.

Sub-standard risk

A sub-standard risk is one which presents adverse risk features thereby creating a higher degree of loss/claim potential than a standard risk. These risks attract higher than standard premiums, meaning that standard premiums are loaded or increased by certain amounts in order to recognize increased loss/claim potential. The amount of the 'load' is determined by the degree of adversity over and above the standard risk. Examples of sub-standard risks are:

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- Inexperienced drivers (or sometimes aged drivers) present a higher degree of claim potential.
- Drivers with a chronic history of previous losses/claims.
- Vehicles with modified engines for high performance that usually present certain challenges.
- Drivers with some types of disability can present difficulties but there never be any discrimination.

An underwriter may, in addition to loaded premiums, increase standard deductibles and impose more severe terms and conditions when treating with sub-standard risks so a sub- standard risk could have both premium loading and discounts including an NCD.

Above standard risk

An above standard risk is one which presents improved or superior risk features thereby creating a lower degree of loss/claim potential in comparison with standard risks. These risks would naturally attract lower than standard premiums, meaning that standard premiums are discounted or reduced by certain amounts in recognition of the reduced loss potential. The amount of the 'discount' is determined by the degree of risk improvement over and above the standard risk.

Policy of Insurance

The insurance policy is the contract document prepared and issued by the insurer.

Duplicate Policy of Insurance

A duplicate insurance policy may be issued in appropriate circumstances.

Payment of Premium

For direct clients, Certificates of Insurance should not be released without receipt of the premium. If the insured is unable to pay the entire premium, a thirty-(30) day Cover Note may be issued for which the corresponding premium must be collected. Certificates of Insurance will only be issued when the balance of the premium is paid.

In the case of large Fleets or Broker Clients, Certificate of Insurance can be given but the premium must be collected within forty five (45) days.

- For Cash Salesmen – Premium must be collected within thirty (30) days
- For Corporate Agents – Refer to Corporate Agents' Contracts
- For Brokers - Certificates of Insurance may be issued and delivered but the premium must be collected by us within forty five (45) days.
- For Binding Brokers – Refer to individual contracts.

Special Discounts

In addition to No Claims Discount, it is possible that in certain instances, other Special Discounts may apply.

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8.2 REFERRED, AND ACCOMMODATION RISKS

The following categories of vehicles are considered unattractive and undesirable mainly because their historic claims performance has been unsatisfactory so our position is to decline these risks. However, there may be instances when a client would have to be accommodated because of compelling business or other strategic reasons. Risks which fall in these categories must be referred to a Manager for approval.

Referred Risks

It is not permissible to grant cover on a referred risk without obtaining approval from the upline or Head Office. It is GGIL's right to give ten (10) days' notice of cancellation or correct the premium or Terms and Conditions of any risk that has been accepted without referral.

Vehicles to be referred are:

- Sedan vehicles with a seating capacity exceeding seven (7) persons.
- Vehicles whose engines have been modified or super charged to improve performance.
- Vehicles which were previously extensively damaged or were declared a total loss.
- Vehicles used for any type of hire or reward
- Rental Vehicles
- Soft Top and convertible vehicles
- Left Hand Drive vehicles
- Vehicles used at the airport tarmac
- Vehicles belonging to or used by security companies
- Vehicles belonging to or used by courier companies
- Vehicles used for transportation of oil and gas products
- Vehicles with Sum Insureds over \$1M
- Sports cars
- Vehicles with electronic systems/music equipment that exceed 5% of the vehicle value
- Rallies

Vehicle Values, Limits of Liability and Special Schemes

- Any vehicle whose value exceeds the authority limit of the agent or underwriter
- Any request for Third Party liability in excess of the authority limit of the underwriter or agent
- Application for fleet rated policies
- Requests for special Group Scheme discounts

Proposers/Drivers

There are certain categories of proposers who are considered unattractive and should be declined. However, there may be instances when these proposers would have to be accommodated because of compelling business or other strategic reasons. Proposers who fall in this category must be referred to the upline or to Head Office with full particulars as to why they should be accommodated. These include: -

- Proposers who have been involved in and were at fault in "major" accidents over the past three (3) years
- Proposers who have been declined or cancelled by another insurer

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- First time proposers driving less than two (2) years and/or proposers under the age of twenty five (25) years. If their parents are insured with GGIL and have an accident-free driving record or a special accommodation acceptance is being requested - refer to the Manager.
- First time proposers over 70 years of age
- Proposers who have other regular drivers falling within the above categories.
- Proposers with more than two (2) vehicles where he/she is stated as the only driver on the vehicles.
- Proposers with previous major convictions.
- Proposers who hold a foreign driver's license.
- Proposers with "rent to own" agreements.
- Proposers with major physical disabilities

Occupations

- Artiste/Public Performers/Entertainers
- Unemployed persons
- Nightclub Owners/Operators
- Police/Military Personnel/Security firms
- Motor Traders
- Driving Instructors/Schools
- Courier companies

NOTE: Handled under the heading of 'referred risks'

9. GENERAL PROCEDURES

9.1 Fleet

A policy may be issued on a fleet basis provided that:

- The fleet consists of not less than ten (10) vehicles on one policy
- All vehicles must belong to one individual or company or be owned or held by a subsidiary of that company
- The claims experience for the previous three (3) years is provided
- Vehicles belonging to members, directors or employees should not be included as part of the fleet
- The policies carry a common expiry date
- No Claim Discounts are not allowed, however a fleet discount may be allowed in cases where the overall loss ratio for a three (3) year period is satisfactory. For fleets with less than a three (3) year history, the underwriter must make a determination based on a detailed analysis of the claims data.

9.2 Groups/Group Plans

A Group Plan may be issued for a group of individuals meeting specific criteria. One such requirement is that the Group must consist of fifty (50) or more members.

Each Group Plan will be identified by a special Group Code.

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9.3 Benefits

- A Special Group Discount off the premium can be negotiated.
- Other Special Terms and Conditions can be negotiated.

9.4 Conditions of Acceptance

- A contract is signed and reviewed on an annual basis
- Each member must complete and sign a Proposal Form
- We reserve the right to decline, cancel or not invite renewal for any member of the group
- Each proposer is rated individually in accordance with our underwriting practices
- Vehicles may be inspected at our request

9.5 Disposal/Change of Vehicle

If an Insured disposes of his vehicle he must notify us and return the Certificate of Insurance. The policy will be cancelled, or the vehicle terminated as the case may be, with effect from the date of the return of the Certificate of Insurance. A return premium may be given in accordance with our procedure.

If the Insured is replacing his vehicle with another vehicle, details of the other vehicle must be obtained and rated in accordance with current guidelines. The “new” vehicle may be added to the existing Policy and a Certificate of Insurance issued for it.

A declaration form for “Additional/Replacement” vehicle must be completed.

9.6 Transfer of interest in an Insured Vehicle

Transfer of interest upon death of the insured

1. When there is a request for a transfer of interest due to the death of the insured:-
 - (a) Written confirmation must be obtained from the relevant authority stating to whom the vehicle must be transferred **or**
 - (b) Evidence of the name of the Executor or Administrator of the Estate must be submitted (this should take the form of a Will or Letters of Administration) **or**
 - (c) Copy of Probate of the Will or Letters of Administration must be provided
2. The Certificate of Insurance must be surrendered to GGIL
3. The Policy will be cancelled
4. The new owner completes a Proposal Form for consideration
5. The new owner is rated according to current underwriting practice
6. A new policy is issued to the new insured (and the “old” Policy is cancelled or lapsed).

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7. Where the vehicle has been transferred to “The Estate Of the Insured” the policy may be endorsed accordingly and a new certificate issued in the name of “The Estate of.” The old certificate must be returned. New underwriting considerations may apply depending on who has effective control of the vehicle.

NOTE: Where the certified copy is in **joint names** and one party dies, there is no need to obtain a grant of administration or probate to determine ownership of the vehicle. The other party is automatically deemed to be the sole owner and is free to insure the vehicle in their name.

This is because a motor vehicle is a ‘chattel’ meaning personal property as opposed to ‘realty’ meaning real property such as house and land.

Transfer of Interest other than the death of an Insured

1. Insured must give written confirmation indicating his disposal of his interest in the Insured Vehicle. If the policy is in joint names, all parties must sign the confirmation.
If the policy is in the name of a Company, a Director of the Company must sign and the Company stamp must be used.
2. The Certificate of Insurance must be returned/surrendered to us
3. The Policy will be cancelled
4. The new Owner completes a Proposal Form for consideration
5. The new owner is rated according to current underwriting practice
6. A new policy is issued to the new insured

9.7 Suspension of Cover

A policy/cover may be suspended for a period of not less than eight (8) consecutive weeks. The Certificate of Insurance must be returned during the period of suspension.

Vehicle laid up

Where an insured vehicle will be laid up for more than eight (8) consecutive weeks, cover may be suspended as follows:-

- i. Full suspension of all covers
- ii. Suspension of Third Party (Road Risks) cover only
- iii. Suspension of Third Party and Collision Damage cover – (Fire & Theft remains in force)

Vehicle sold

A policy/cover may be suspended when an Insured vehicle has been sold and a replacement vehicle will not be available prior to the policy's expiry date.

9.8 Reinstatement of Suspended Policy/Cover

When a laid up vehicle is put back into use the Policy/Cover may be reinstated from the date on which it was put back into use. When this happens we may do one of two things:-

- i. Reinstatement and extend the original policy's expiry date by the number of days suspension, or
- ii. Reinstatement to the original policy's expiry date and give a refund premium for the period of suspension.

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If the Vehicle is still laid up at renewal

If the vehicle is still laid up at renewal then the Fire & Theft cover may be renewed provided a premium of 2% of the value of the vehicle is charged for the year.

Sale of laid up vehicle:

If during a suspension period the policy/cover is to be cancelled it will be cancelled on a short-period basis from the date of the suspension.

No refund of premium will be allowed if the vehicle has been undergoing repairs as a result of an accident giving rise to a claim under the policy.

Reinstating Road Risks

- On existing Motor Vehicle

Road Risks may be reinstated in respect of the same vehicle provided:

- a) the policy has not lapsed
- b) a new certificate of insurance is issued from the time and date cover is required.

- On New Motor Vehicle

Road Risks may be reinstated in respect of a new vehicle provided:

- a) the policy has not lapsed
- b) the new vehicle is of a similar type i.e. both Private
- c) a Declaration Form is completed and submitted for underwriting review
- d) the premium is calculated for the new vehicle on a pro rata basis taking into account the premium already paid to the expiry date.
- e) a new Certificate of Insurance is issued from the time and date cover is required.

9.9 Cancellation

We may cancel a policy in accordance with our Cancellation Conditions.

We are required to send a registered letter to the insured at his last known address giving ten (10) days' notice of our intention to cancel the policy. It is a legal requirement that the insured be advised of his obligation to return the Certificate of Insurance or submit a Statutory Declaration if it has been lost or destroyed otherwise the Commissioner of Police must be notified in writing that the Certificate has not been surrendered to us. A pro-rata return of premium will be allowed. A copy of the cancellation letter goes to the mortgagee/lessee or other interested party and a Standard Letter goes to the Licensing Office/ Commissioner of Police.

The insured may cancel at any time in writing and return/surrender the Certificate of Insurance to us. A short period or pro rata premium will be given.

No refund of premium will be allowed until either:-

1. The Certificate of Insurance is returned/surrendered to GGIL or
2. A statutory declaration stating that the Certificate has been lost or destroyed

No premiums will be refunded once a claim has been paid.

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9.10 Total Loss Settlements

Where a Total Loss claim is settled, the policy/cover must be automatically cancelled without a refund premium. If there is more than one vehicle covered under the policy, the Total Loss vehicle must be terminated without a refund premium.

9.11 Duty of the Insurer when the Certificate is not surrendered

Where a policy/cover is cancelled/terminated and the Certificate of Insurance is not returned, or the required Statutory Declaration is not provided, the insurer must commence legal proceedings (filing of a complaint without oath to recover the Certificate of Insurance. This may be done in-house by the person handling the cancellation transaction.

9.12 Deletions

A vehicle may be terminated from the policy and a pro-rata return of premium given provided that:-

- a) the Certificate of Insurance is returned to GGIL
- b) no claims have been paid/ are outstanding on the vehicle

9.13 Short Term Rates

A short-term policy is one which is issued for a period of less than twelve months. An insurer may elect to charge short-term rates/premiums (as opposed to pro rata rates/premiums). Short-term rates/premiums are generally a percentage of annual rates/premiums where the percentage is greater than the pro rata percentage. Refer to the Short Term Rating Guide that is attached. It is important that this condition is explained to the client by the underwriter to avoid any contention in the event that the short period refund that is generated is not in line with the expectations of the client.

10. RISK CONTROL FOR FLEETS

GGIL considers a fleet to comprise of ten (10) vehicles or more and can be made up of personal passenger vehicles used by employees or a fleet of delivery trucks transporting goods.

Some companies may not have a fleet manager or a loss prevention program and this increases the likelihood of vehicular accidents, car thefts etc. resulting in increased cost and losses.

A proper safety program will examine the following:-

- Attitude of management to health and safety
- Driver selection and assessment of the motor vehicle
- Accident reporting, recording and analysis with resultant sanctions and penalties
- Driver training and motivation
- Vehicle selection, inspection and maintenance
- Evaluation of the motor loss control program

Brokers and agents must refer all fleets to Head Office for rating. Underwriters need to investigate whether proposers have a fleet safety program which will depend on the size and type of the fleet and the number of drivers. If the proposer does not, they should be encouraged to develop such a program as this would reduce

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the number of claims and provide benefits to the operations. The scale of the program will depend on the size and logistics of the fleet.

10.1 Management

Guidelines must be in place for the safe operation of a fleet and employees must understand that safety is paramount in the organization. The safety policy should:

- Voice management's commitment to safety
- Outline the methods that are used to control vehicle losses
- Address substance abuse and other negative behaviours
- Prohibit truck drivers from carrying unauthorized passengers
- Limit the use of passenger vehicles by non-employees
- Address the use of non-owned vehicles that are used for company business
- Discuss road use and traffic regulations and ensure compliance with legislation
- Have incentives and penalties for drivers
- Assign responsibility for fleet safety
- Ensure accountability

10.2 Vehicle Selection

Any vehicle purchased should be suitable for the specific use for which it is intended and a policy should be in place to ensure that it is properly maintained and for its ultimate replacement.

A policy should also be in place for the use of personal vehicles for the company's business and for leased and or rented vehicles. As the company is not responsible for the upkeep and maintenance of personal vehicles, it must ensure that these vehicles are being properly maintained and that the insurance and the driver's permit of the employee are always current.

Contracts for rented or leased vehicles should cover their upkeep and maintenance, insurance etc

10.3 Driver Selection

The Human Resource Department must develop standards for drivers. They must ensure that the successful candidate for the position of driver is qualified to drive the type of vehicle/s, have a current driver's permit with no violations, have the necessary driving experience and not have been liable in any accidents over the past five years and be medically fit for the job. The driving history of the applicant must be carefully checked as part of the screening process and compared to the standards in the industry.

10.4 Substance Abuse

A written policy on substance abuse and a drug and alcohol program comprised of random, post-accident and pre-employment testing, employee assistance and medical reviews should be effected for all employees especially drivers. Any other tests mandated by regulations should also be in place.

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10.5 Accident Reporting and Analysis

A proper system for the reporting of accidents will ensure that all accidents can be investigated and analyzed so that corrective action can be taken to prevent any recurrence. This is to identify the need for training, refresher courses and defensive driving courses, improve the selection process, improve vehicle maintenance and examine the routes that are used on a daily basis.

The company must have a specific form for the reporting of accidents to ensure that proper procedures are being followed and this must also include accidents that do not result in a claim. All drivers must be mandated to have an accident reporting form in the vehicle at all times.

10.6 Driver Responsibilities

It should be mandatory for every driver to inspect their vehicle pre and post trip and to log their findings. The detection and correction of a defect could reduce the risk of a mechanical defect resulting in an accident or the breakdown of the vehicle which could cause great inconvenience and missed deliveries.

10.7 Program Evaluation

The program should be audited at least annually so that it can be updated due to any changes in the operations, regulations or driver experiences. The results will contribute to accountability for the fleet operations and the audit should examine the following areas:

- Management policy
- Driver qualification
- Driver training
- Driver supervision
- Vehicle selection, inspection and maintenance
- Routing and scheduling
- Accident reporting, recording and analysis

The results of all audits should form part of the performance appraisal for the relevant employees.

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11. MOTOR ASSIST

GGIL offers twenty-four (24) hour emergency roadside assistance as a free corporate benefit to all our Comprehensive motor vehicle policy holders with the following limitations/exceptions. Wef January 20th 2023 - due to prevailing market conditions and increases in motor roadside assistance call outs, our 24-hour emergency roadside assistance service can no longer be offered as a free benefit to Third Party Policies. This benefit will now cost \$130 (tax exclusive).

The services offered are:-

Towing

Removal of your damaged vehicle provided that it is unsafe to drive or is immobile and removal of a mechanically disabled vehicle from the emergency/breakdown/accident location to a place of safety.

Emergency battery jumpstart

A jumpstart will be provided at the emergency/breakdown location.

Emergency flat tyre assistance

We will change your flat tyre at the emergency/breakdown location if you have a spare tyre in good condition and a compatible jack and spanner.

Emergency refuel service

We will have a supply of gas delivered to you at your own cost to enable you to drive to the nearest fuel station.

Emergency locksmith service

We will provide a locksmith service at the emergency/breakdown location or if preferred we will tow you to a place of safety. If special equipment is required to open your vehicle, the fees that we incur in this regard are for your account.

Additional Assistance

When you call to access this service our Call Centre operator can:

relay messages to your family or a friend or other person that you may need to contact in the event of an accident or breakdown and/or

- contact any of the emergency services on your behalf and /or
- if required, arrange for courtesy transport to be provided to take you from the emergency/breakdown/accident location to your desired destination or your home whichever is closer.

However, it is your responsibility to:-

- Call our hotline to access the service and verify that the service is being provided by a bonafide Guardian General Motor Assist provider under this program as Guardian General Insurance Limited will not pay for services that are supplied by any other provider.
- Take all personal items, tools and moveable accessories from your vehicle prior to its removal.
- Verify with the service provider that immovable accessories are in the vehicle e.g. stereo, VCR etc.
- Cooperate with the service provider when he/she asks you to verify the condition of your vehicle
- Unload your vehicle prior to the service being provided.

The limitations/exceptions are:-

- Taxis, maxi-taxis, motor cycles, special-type and private and commercial vehicles over 3 tons TARE that do not qualify for this service
- Transportation of a vehicle between Trinidad and Tobago is excluded
- Each qualified vehicle is entitled to use the service up to a maximum of three(s) times per calendar year

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- Each callout is subject to a maximum fee limit of \$3,500
- A vehicle with load must be unloaded prior to the service being provided.

12. ALTERED MOTOR VEHICLE UNDERWRITING

12.1 ELECTRIC VEHICLE UNDERWRITING GUIDELINES

Rates

- No special rates to be applied. **ONLY** standard rating applicable.
(Exclude all electric risk from group plans or campaigns)

Discounts

- Comprehensive Risk – Special Discounts no greater than 55%
- Third Party Risk – Special Discount no greater than 15%
- Anti-theft discounts applicable as per standard

Loading

25% - **Electric / Hybrid Loading** – (Webstar loading code **EHV**)

Non Standard Excesses Applicable

Summary Excess Clause	Percentage	Minimum Excess
(1) Insured or his spouse as an Authorised Driver	5.00%	\$1,500
(2) Young Driver	7.50%	\$3,500
(3) Other than an Authorised Driver	5.00%	\$1,500
(4) Provisions in (1) to (3) above do not apply	5.00%	\$1,500
(5) Fire or Theft or any attempt thereat etc.	5.00%	\$2,500

Endorsement Clause

- Claims Settlement Endorsement Clause to be attached to all electric risk (**Webstar Code CSC**)

CLAIMS SETTLEMENT CLAUSE - (Webstar Endorsement Code – CSC)

Notwithstanding anything contained in this Policy to the contrary it is declared and agreed that sub section 4 4.1 of Section 2 - Loss or Damage, is deleted and replaced by the following:

Section 2 - Loss or Damage

4. Claim Settlement

4.1 In the event of loss or damage

We will;

In the event of a partial loss, pay in cash the amount of the loss or damage to the Insured Vehicle as recommended by a qualified motor Loss Adjuster less the applicable policy Excess.

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In the event that the Insured Vehicle has to be taken outside of the Territorial Limits for repairs. We will not pay the cost of freight to or from the country where such repairs are carried out.

*In the event of a total loss, pay in cash the Market Value of the Insured Vehicle at the time of the loss or damage or the amount for which the Insured Vehicle is insured whichever is less, less the value of the salvage, if any, as determined by a qualified motor loss Adjuster less the applicable policy Excess. **In this case You will retain the salvage.***

12.2 HYBRID VEHICLES UNDERWRITING GUIDELINES

Hybrid vehicles to be rated as per normal subject to the applicable loading stated below.

Loading

15% - **Electric / Hybrid Loading** – (Webstar loading code EHV)

12.3 SELF-DRIVE FEATURE ON VEHICLES – DRIVERLESS CARS

The likelihood of driverless vehicles appearing on the nation's roads, raises questions about the application of ratings and how Underwriting will treat with these risks. Although the self-drive feature are available on vehicles, it is not a feature we consider safe. It is keen to note that cover on our treaty does not extend to these Driverless vehicles.

Additionally, In Trinidad, our laws do not recognize this feature for our roads, and all vehicles must be under the control of a driver.

If we insure a vehicle with this feature e.g. Tesla, it is **mandatory** that a **Condition** is included '*that the vehicle should always be under the full custody and control of a licensed driver and not operated in autonomous mode at any time on the roads.*'

The rating and loadings applicable will follow the ELECTRIC VEHICLE UNDERWRITING GUIDELINES listed above.

12.4 TOYOTA AQUA UNDERWRITING GUIDELINES – HIGH THEFT CLAIMS

RENEWALS:

- Without approved anti-theft device – **Increase theft excess to 10% minimum \$5,000 allowing the 7 days grace to submit proof of installation etc.**

QUOTE/ NEW BUSINESS:

- Vehicles without any Anti-theft device installed - **We should not allow the theft coverage for new business. All Quotes for Aqua vehicles should be subject to a 3 point immobilisation alarm or GPS (tracking & retrieve) system – proof must be received.**
- Vehicles without an approved anti-theft device – **Increase theft excess to 10% minimum \$5,000. Once proof received, the 7.50% excess to be applied.**

13. PRIVATE MOTOR VEHICLE UNDERWRITING

13.1 PRIVATE MOTOR VEHICLES

Private motor vehicles that are registered with a “P” license plate and used for private purposes are the risks usually underwritten under our Private Motor policy.

13.2 PRIVATE USE PICK-UPS

As many private vehicle owners also use pickups that are licensed with a “T” registration plate for their private purposes, GGIL will accept vehicles with a “T” license plate under its private motor vehicle policy. The proposer/insured must complete the *Private Use Pick Up Vehicle Insurance Proposal* and must sign the *Declaration form for Private Use Pick-Ups*, which states that the vehicle will not be used for the carriage of goods in connection with any business or trade before the risk is accepted.

13.2.1 Types Of Vehicles Allowed For This Policy

Only Pick-Ups will be offered this type of policy. All risks under these policies should carry Body Type 13 ONLY.

13.2.2 Mandatory Endorsement Code

Effective December 2019 the LTU endorsement was included in the policy wording.

All risks MUST carry the **LTU – Limitations As To Use** endorsement. This wording is critical as it emphasizes that the private policy is only being given upon the condition that the vehicle will not be used for commercial purposes.

14. STANDARD PRIVATE CAR RATING/TERMS

14.1 STANDARD PRIVATE CAR RATING ALGORITHM

Rating Algorithm	Private Vehicles
Basic	
Plus Third Party Premium	
Sub-Total	
Plus Increased Third Party BI & BD Limits	
Sub-total	
Plus Loadings	
Sub-Total	
Less Anti-Theft	
Sub-Total	
Less Discounts	
Sub-total	
Plus Special Perils	
Sub-total	
Less Voluntary X's Discount	
Sub-Total	
Plus Personal Accident Benefit	
Sub-Total	
Plus Passenger Liability	
Sub-Total	
Plus Increased Manslaughter	
Sub-Total	
Less No Claim Discount	
Sub-Total	
Plus Agreed Depreciation	
Sub-Total	
Plus Windscreen	
Sub-Total	
Road Side Assistance	
Sub-Total	
Plus Rally	
Sub-Total	
Plus C/Car/Hospitalization	
Sub-Total	
Plus Waiver of Excess	
Plus Mechanical Repair Benefit	
Survivor's Benefit	
Motor Portfolio Charge	
Sub-Total	
Net	
Plus 6% Government Tax	
Total Due	

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14.1.1 BASIC RATING - PRIVATE CARS (Note: These rates may be amended from time to time to take into account various Promotions that the company may embark upon).

Private Cars (Subject to a minimum Rating Value (MRV) = \$30,000)

Rates will vary dependent on whether the risk underwritten is in Trinidad or in Tobago as follows:-

TYPE OF COVER	TRINIDAD	TOBAGO
	Seating capacity up to 7 seats	Seating capacity up to 7 seats
Third Party	Up to 2200 cc \$1,750 Plus \$25 per seat In excess of 7 seats	Up to 2200 cc \$1,100.00 Plus \$25 per seat In excess of 7 seats
	Over 2200cc \$1,900 Plus \$25 per seat In excess of 7 seats	Over 2200cc \$1,250.00 Plus \$25 per seat In excess of 7 seats
Third Party Fire & Theft	3.5% of Sum Insured plus: Up to 2200cc \$1,150 Over 2200cc \$1,450	3.5% of Sum Insured plus: Up to 2200cc \$920 Over 2200cc \$1,035
Comprehensive	11.5% of Sum Insured plus: Up to 2200cc \$1,150 Over 2200cc \$1,450	9% of Sum Insured plus: Up to 2200cc \$920 Over 2200cc \$1,035

Private Cars/Vehicles with more than seven (7) seats must be referred to Head Office for consideration.

Loadings – Private Cars (ALL COVER TYPES)

Criteria	Loading
Drivers less than 20 years of age	50%
Drivers 20-25 years of age	35%
Drivers with less than 2 years driving experience	15%
Persons Learning to drive (tuition), and/or using the vehicle for Examination purposes	50%
Other Loadings may be applied at Underwriters' discretion e.g. claims experience	U/W's discretion

The above loadings are designed to be combined where the risk presented falls into more than one category.

Example: A Driver may be under 25 years of age (35%) AND inexperienced with driving experience of under 2 years (15%) = Total Loading 50%.

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14.1.2 Private Vehicles – Hospitalization and/or Courtesy Car

The company's standard Private Motor Vehicle policy is available to vehicle owners or to persons who hold a current valid driver's license and who have not been disqualified from holding such a license.

Private individual policyholders insured for 'Comprehensive cover' have the option to choose one of the following Optional Extra Benefits at no additional cost:-

The free choice is limited to only one of the benefits and is only available **once as it pertains to the Hospitalization benefit**, irrespective of the total number of vehicles/policies held by the policyholder.

- a) **Free** Hospitalization Benefits in Trinidad and Tobago in cases of any accidental injury or illness arising during the period of insurance up to a limit of \$15,000 per twelve (12) month period. In the case of joint insureds, the benefit is shared equally. Pre-existing medical conditions are not covered.

Or

- b) **Free** Courtesy Car/Loss of Use Benefits up to a maximum period of ten (10) days or alternatively a cash payment of up to \$275 a day towards the cost of the rental of a vehicle from a registered vehicle rental company (maximum \$2,750)

If the policy covers a Private Use Pick-Up, the policyholder must pay for the Alternative Vehicle Allowance and for the Hospitalization, each benefit costs \$250 plus government tax.

Private individual policyholders wishing to have both benefits are required to pay an additional premium of \$250 plus government tax.

For the purposes of clarification, the free hospitalization benefit can only be taken once by an insured regardless of the number of policies/vehicles he owns. In other words he cannot take the benefit on each policy/vehicle and end up with the benefit several times.

Where the hospitalization benefit is chosen as the free benefit, the premium for the courtesy car benefit is payable for each car that requires the benefit.

A maximum of four (4) cars may qualify for the courtesy car benefit provided to an insured, so that where an insured has multiple private cars or multiple policies only four (4) cars will get the free benefit, and the others are at a cost per vehicle.

Courtesy Car/Loss of Use Benefits are also available to **Corporate** Policyholders for comprehensive private vehicles at an additional premium of \$250 per vehicle plus government tax.

14.2 Discounts – Private Cars

There are many types of discounts which may be available to a proposer/insured. These discounts are broadly described as follows:-

- Anti-Theft Device Discount
- Special Discount
- Voluntary Excess Discount
- No Claim Discount

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14.2.1 Anti-Theft Devices – Private Cars

An Anti-Theft Device discount may be given on Comprehensive and Fire & Theft coverage where an approved anti-theft device has been installed in the insured vehicle and is in working condition.

Some GPS systems may require an annual certificate and at renewal, so the current certificate must be requested.

The following is a table of approved anti-theft devices and their applicable discounts:-

ANTI THEFT DEVICE	PRIVATE DISCOUNT
MUL-T-LOCK	10%
IMMOBILISER	10%
FACTORY INSTALLED (By Manufacturer)	10%
CAR SEARCH (on active certificates Only)	15%
Tracking or GPS devices	10% tracking only or 15% tracking plus alarm
Alarms that have a minimum of 3 Immobilization Points in the vehicle. Standard Immobilization Points are: • The Ignition • The Starter • The Fuel (Electronic Fuel Line)	10%

14.2.2 Special Discount - Private Cars (Note: These discounts may be amended from time to time to take into account various Promotions that the company may embark upon).

There are different types of special discounts namely:

- 10% Over 45 years of age
- 10% Other business or other vehicle
- 10% TAA Members
- 10% Woman Driver (25 years & over and driving more than (2) years accident free & must NOT be that of a salesperson/travel officer and other like occupations)
- 10% Loyalty Customer (applicable after 3 years)
- Groups – Normal UW Procedures to apply/negotiable
- Underwriter's/Manager's Discretion (must be noted on risk Black Board)

If the Insured qualifies for more than one discount, the maximum number of discounts that are allowed are:

THIRD PARTY ONLY	1 Special Discount + Applicable NCD
THIRD PARTY FIRE & THEFT	1 Special Discount + Anti-Theft + Applicable NCD
COMPREHENSIVE	1 Special Discount + Anti-Theft + Applicable NCD Under special circumstances a second special discount may be considered. Refer to Head Office for consideration.

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14.2.3 No Claim Discount (NCD) – Private Cars and Private Use Pick Ups.

Effective 1st June 2020 the NCD section was updated to reflect months instead of years due to the introduction of 6 month policies

Provided no claim is made or arises under the Policy during a Period of Insurance specified below immediately preceding the renewal of the Policy, the following No Claim Discount will be given.

COMPREHENSIVE POLICIES

Period of Insurance	No Claim Discount
The preceding 12 consecutive months	30%
The preceding 24 consecutive months	40%
The preceding 36 consecutive months	50%
The preceding 48 consecutive months	60%

The No Claim Discount shall be deemed to accrue/commence upon the expiry of 12 consecutive months of insurance and upon every twelve months thereafter

“STEP BACK” COMPREHENSIVE NO CLAIM DISCOUNT

If a claim is paid or is payable under the **Policy** after the Insured has at least a twenty-four month discount our ‘Step-Back’ rule will apply as follows:-

No claim Period	Current No Claim Discount	“Step Back” to
First 12 months	30%	0%
24 months	40%	30%
36 months	50%	40%
48 months	60%	50%

If at any later date during the same 12 months period of insurance another claim is paid or is payable the entire No Claim Discount will be disallowed.

PROTECTED MAXIMUM COMPREHENSIVE NO CLAIM DISCOUNT

If after the Insured has completed twenty-four consecutive months or more with **Us** at the Maximum **No Claim Discount** without any subsequent interruption in the insurance and not more than one claim is paid or is payable during the current 12 months period of insurance, the **No Claim Discount** will **not** be affected. However, if at any later date during the same 12 months period of insurance a second claim is paid or is payable under the Policy, the entire **No Claim Discount** will be disallowed.

If during any of the next 36 consecutive months not more than one claim is paid or is payable **Our “Step Back”** rule will apply. However, if during any of the 36 consecutive-months, more than one claim is paid or payable, then the entire **No Claim Discount** will be disallowed.

THIRD PARTY FIRE AND THEFT AND THIRD PARTY POLICIES

Provided no claim is made or arises under the Policy during a **Period of Insurance** specified below immediately preceding the renewal of the Policy the Insured may be entitled to a **No Claim Discount** as follows:-

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Period of Insurance

The preceding 12 consecutive months
The preceding 24 consecutive months
The preceding 36 consecutive months
The preceding 48 consecutive months

No Claim Discount

15%
20%
25%
35%

14.3 Optional Extra Benefits – Private Cars

Waiver of excess included as item 'I'. Effective May 3rd 2024 the rating guide was amended to reflect changes to Waiver of Excess cost which now includes three (3) premium calculation options.

The Rating Guide was amended effective May 01, 2009 to reflect change to Special Perils cost from \$150 to 0.5% of the Sum Insured subject to minimum cost of \$150.00

BENEFIT	STANDARD PRODUCTS LIMIT	COST	
A - Special Perils (Flood, Hurricane, Windstorms, Earthquake, Tornado, Volcanic Eruptions and other convulsions of nature)	Sum Insured	0.5% of the sum insured	
B- Windscreen Damage Windscreen claims are not subject to Excess and the NCD is not affected	UP TO \$2,500 \$2,501 to \$15,000 >\$15,000 refer to Underwriter	\$150 \$150 plus 10% of the difference in excess of \$2,500	
C- Windscreen Front and Back Glass	\$1,500 to \$10,000	Limit	Premium
		\$1,500	\$250
		\$2,500	\$350
		\$3,500	\$500
		\$5,000	\$650
		\$7,500	\$850
		\$10,000	\$1,150
D – Accident to unnamed passengers (PAB) (other than the Insured and his paid driver or a person in the employ of the Insured coming within the scope of the Workmen's Compensation Act) between 17 to 65 years of age	\$5,000 per person, Maximum \$35,000	\$50	
E - Courtesy Car/Loss of Use Alternative Vehicle Allowance (Private Use Pick-Ups)	10 days maximum or \$250 per day, Maximum \$2,500 10 days maximum or \$250 per day, Maximum \$2,500	\$250 (Free option available for individuals, but not for Private Use Pick-ups)	
F – Agreed Depreciation		5% of net premium after NCD	

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G – Hospitalization	\$15,000	\$250 (Free option available for individuals, but not for Private Use Pick-ups)
H – Increased Legal Expenses- Manslaughter	Insured' request in excess of \$15,000	1% of Limit in excess of \$10,000
I – Increased Third Party Limits of Liability	See below	See Below
J – Waiver of excess	1. Waiver of Excess all Authorised Drivers ONLY 2. Waiver of Excess Insured & Spouse ONLY 3. Waiver of Excess Authorised and Declared Young Drivers	0.35% x Sum Insured 0.25% x Sum Insured 0.50% x Sum Insured
K - Survivors Benefit	\$20,000	Insureds ages 17 to 49 - \$300 Insureds ages 50 to 60 - \$400 Insureds ages 61 to 64 - \$750

14.3.1 Increased Limits of Third Party Liability - Private Cars - Non Standard Limits

Requests for increased Limits of Liability must be considered on a case by case basis and as such must be referred to Team Leader, Manager or Head Office for consideration. For example: An Insured may require higher limits in order to fulfill contractual obligations.

Underwriters must adhere to the following:

- (i) Underwriters are **NOT** to allow any increased limits of liability to new clients unless approved by the **Operations Lead**.
- (ii) Clients **MUST** provide a copy of the contract showing the insurance requirements to be satisfied and details of the works.
- (iii) The criteria for allowing increased limits should be on a strict accommodation basis unless otherwise **approved by the Operations Lead**. The Underwriter is also to take into consideration the client claims history, size of the portfolio with GGIL, the history of the client.
- (iv) The **underwriting authority limits of liability for Motor Third Party BI and PD was revised**, reducing the authority to the **Operations Lead** from **5 MIL USD to 3 MIL USD**. Limits above this is to be approved by the **CTO/COO**.

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Bodily Injury Limits	Property Damage Limits	% of TP Premium
\$6,300,000	\$6,300,000	150%
\$6,500,000	\$6,500,000	160%
\$6,800,000	\$6,800,000	180%
\$12,600,000	\$12,600,000	300%
\$31,500,000	\$31,500,000	400%

14.3.2 Short Term Rates/Premiums Private Cars – Annual policies

The following is the scale of short-term rates/premiums: -

PERIOD	PREMIUM TO BE CHARGED	
1-3 days	10% of annual premium	Minimum of \$100
Not exceeding 1 week	12.5% of annual premium	Minimum of \$100
Not exceeding 1 month	25% of annual premium	Minimum of \$100
Not exceeding 2 months	37.5% of annual premium	Minimum of \$100
Not exceeding 3 months	50% of annual premium	Minimum of \$100
Not exceeding 4 months	60% of annual premium	Minimum of \$100
Not exceeding 6 months	70% of annual premium	Minimum of \$100
Not exceeding 8 months	80% of annual premium	Minimum of \$100
Exceeding 8 months	FULL ANNUAL PREMIUM	

Where an existing policy is being cancelled, the above rates must also be used unless the reason for cancellation justifies the application of a pro rata premium, for example:

- Replacing one policy/vehicle with another
- Deletion of vehicle(s) from the policy with other active risks
- Insured migrating

14.4 Minimum Annual Premium

Minimum transaction premium of \$150, plus tax included for the addition of a risk and \$100 plus tax for endorsements.

Effective **October 1st, 2024**, the following **minimum annual premiums** are now applicable to both **Renewals** and **New Business for the Private Motor Products**:

Applicable to Private Use and Private Pick-Ups (APU, APC and APG)	MINIMUM ANNUAL MOTOR PREMIUMS TT\$
THIRD PARTY ONLY	\$1,000
THIRD PARTY FIRE & THEFT	REMAINS UNALTERED as per MEMORANDUM DATED JUNE 9TH 2023 \$1,000

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COMPREHENSIVE SUM INSURED BANDWIDTHS As per Memo dated JULY 30 TH 2024	NEW Minimum Annual Premiums (Standard Non-Groups – APU & APC)	NEW Minimum Annual Premiums (Group Plans and Fleets – APG, APC, & APF)
20,000 to 50,000	\$2,000	\$1,800
50,001 to 100,000	\$2,250	\$2,000
100,001 to 150,000	\$2,750	\$2,500
150,001 to 200,000	\$3,250	\$3,000
200,001 & over	\$3,650	\$3,500

Note: The premiums noted above are Pre-Tax and subject to the usual Mandatory Portfolio charge, along with additional charges where applicable for Windscreen Cover, Waiver of Excess, Special Perils, Personal Accident Benefit, Road Side Assistance and Mechanical Breakdown.

Rallies

Private policies may be extended to permit use in rallies and treasure hunts where speed or time over the route or section of the route is not a feature of the event.

COVER	Third Party Only
RATE	\$230.00 per day (plus tax).
RESTRICTION	Driving restricted to one approved named driver.
EXCESS	\$500.00 (Property Damage only)

14.5 Subrogation Waiver

(Agents and Binding Brokers are required to submit all applications for Subrogation Waiver to Head Office for approval).

In special circumstances an Insured may request a Subrogation Waiver in favour of a Principal for whom he is working. Each such request must be considered on a case by case basis. Where an accommodation is made the name of the Principal and a reference to the specific contract must be noted on the Subrogation Waiver endorsement. An additional premium is optional.

14.5.1 STANDARD LIMITS OF LIABILITY – PRIVATE CARS

DETAILS	STANDARD
ITEM	LIMIT
Section 2 Protection & Removal	\$1,0000
Section 3 Bodily Injury	

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-in respect of any claim by any one person	\$2,000,000
-in respect of a series of claims arising out of one event	\$4,000,000
Property Damage	
-in respect of any claim by any one person	\$1,000,000
-in respect of a series of claims arising out of one event	\$2,500,000
Legal Charges (Manslaughter)	\$15,000
Section 4	
Damage to Garage by Fire	\$2,000
Medical Expenses	\$1,500
Personal Accident to Insured/Spouse	\$10,000
Luggage and Personal Effects	\$1,000
Emergency Treatment	
-in respect of any claim by any one person	\$1,500

14.6 EXCESSES – PRIVATE CARS

14.6.1 Standard Excesses

We will not pay the first sum as stated below of any claim for loss or damage under Section 2 – Loss or Damage. These Excesses apply to each vehicle separately.

- In the case of a Total Loss, the Percentage stated is of the Sum Insured or Market Value whichever is the lesser at the time of the Loss or Damage.
- In the case of a Partial Loss, the Percentage stated is of the Sum Insured at the time of the Loss or Damage. If policy is on an Agreed Depreciation Basis, the Percentage stated is of the Depreciated Value at the time of the Loss or Damage. If no Percentage is stated, the Minimum Excess applies.

Excess Clause	Percentage	Minimum Excess
(1) Under Section 2 sub-section 1 whilst the Motor Vehicle is being driven by the Insured or his spouse as an Authorised Driver and not otherwise falling within the description under (2) below.	3.00%	\$1,500
(2) Under Section 2 sub-section 1 whilst the Motor Vehicle is being driven by any Authorised Driver who is under the age of 25 years or who is the holder of a learner's permit or who is the holder of a driving permit which has been in force for less than 2 years.	7.50%	\$3,500

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(3) Under Section 2 sub-section 1 whilst the Motor Vehicle is being driven by any person other than an Authorised Driver described under (1) and (2) above.	4.00%	\$1,500
(4) Under Section 2 sub-section 1 when any of the provisions in (1) to (3) above do not apply.	3.00%	\$1,500
(5) Under Section 2 sub-section 1 (a) and (b) in respect of Fire, Explosion, Self-Ignition, Lightning, Burglary, Housebreaking or Theft or any attempt thereat.	5.00%	\$2,500
➤ Where the cover is Comprehensive, Excesses 1 to 5 apply ➤ Where the cover is Third Party Fire and Theft Excess 5 applies ➤ Where the cover is Third Party, No Excess is applicable ➤ For Corporate Clients, Excess 1 (Insured & Spouse) does not apply.		

14.6.2 Voluntary Excess

It is hereby declared and agreed that in consideration of a discounted premium, Section 2 of this Policy is subject to a Voluntary Excess as stated in the Schedule.

This Voluntary Excess is your contribution towards the cost of a claim (other than a claim for windscreen damage only) and is in addition to any other Excess under the Standard Excess Clause which may be applicable.

Voluntary Excess : \$x,xxx

15.COMMERCIAL MOTOR VEHICLE UNDERWRITING

Vehicles that are acceptable under our commercial motor portfolio are as follows:-

- Vehicles used for the carriage of own goods which are generally registered “T”
- Vehicles that are categorized as Special Types e.g. tractors, trailers, scrapers, rollers, ambulances, fire brigades and other emergency vehicles
- Motor cycles
- Vehicles used for transporting goods (not owned by the proposer) i.e. general cartage
- Owner driven taxis licensed for a maximum of five (5) passengers
- Vehicles used for short/long term rental/lease
- Vehicles used with a demonstration plate i.e. a “D” plate
- Vehicles used with a visitor registration plate i.e. a “V” plate

All commercial vehicles are inspected by the Licensing Office annually and a Certificate of road worthiness is issued and should be obtained by the underwriter. A Certificate of Insurance should never be issued if a vehicle has not passed the mandatory inspection.

15.1 REFERRED, AND ACCOMMODATION RISKS

The following categories of vehicles are considered unattractive and undesirable mainly because their historic claims performance has been unsatisfactory so our position is to decline these risks. However, there may be instances when a client would have to be accommodated because of compelling business or other strategic reasons. Risks which fall in these categories must be referred to the Manager with full particulars for acceptance.

15.1.1 Referred Risks

It is not permissible to grant cover on a referred risk without obtaining approval from the Manager or if an agent, Head Office. It is GGIL's right to give ten (10) days' notice of cancellation or correct the premium or Terms and Conditions of any risk that has been accepted without referral.

Vehicles to be referred are:

- Vehicles with seating capacity exceeding seven (7) persons
- Vehicles used for the transportation of goods for reward.(General Transport)
- Vehicles belonging to or used by courier and/or security companies
- Vehicles whose engines have been modified or supercharged to improve their performance
- Vehicles which were previously extensively damaged or were declared a “Total Loss”
- Vehicles used as taxis/maxi taxis
- Rental vehicles
- Dump trucks
- Left hand drive vehicles
- Vehicles transporting flammable gases and liquids, explosive and/or bulk cargo/hazardous goods
- Water trucks
- Buses
- Vehicles with an “X” registration plate i.e. special type engineering vehicles
- Garbage Trucks
- Oil Tankers
- Wreckers, Fire Engines and Fire Tenders
- Trailers
- Vehicles belonging to or used by security companies
- Vehicles with Sum Insureds over \$1M

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In addition to the above, all the underwriting considerations that pertain to the Private Motor Vehicle must be applied.

POLICY TYPES:	(a) OWN GOODS
	(b) GENERAL TRANSPORT
	(c) TAXIS/OMNIBUSES/MOTOR CABS
	(d) LONG TERM RENTALS (PRIVATE AND COMMERCIAL)
	(e) SHORT TERM RENTALS (PRIVATE AND COMMERCIAL)

Agents are required to submit all proposals for General Transport, Taxis/Maxi Taxis/Omnibuses/Private & Commercial Rentals to Head Office for consideration.

The following is a specimen of the Commercial Vehicle Rating Algorithm

RATING ALGORITHM	COMMERCIAL VEHICLES
Basic	
Plus Third Party Premium	
Sub-Total	
Plus Increased Third Party BI & BD Limits	
Sub-total	
Plus Tonnage	
Sub-total	
Plus Loadings	
Sub-Total	
Less Anti-Theft	
Sub-Total	
Less Discounts	
Sub-total	
Plus Special Perils	
Sub-total	
Less Voluntary X's Discount	
Sub-Total	
Plus Passenger Liability	
Sub-Total	
Plus Increased Manslaughter	
Sub-Total	
Less No Claim Discount	
Sub-Total	
Plus Windscreen	
Sub-Total	
Motor Portfolio Charge	
Sub-Total	
Plus Tool of Trade	
Sub-Total	
Plus Rally	
Sub-Total	
Sub-Total	
Net	
Plus 6% Government Tax	
Total	

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Effective **August 1st, 2023**, the following **minimum annual premiums** are now applicable to both **Renewals** and **New Business for Commercial Motor Products**:

Applicable to Commercial Vehicles	MINIMUM ANNUAL MOTOR PREMIUMS TT\$
THIRD PARTY ONLY	
Standard Non Group	\$1,000
Group Plan & Fleet	\$850
THIRD PARTY FIRE & THEFT	
Standard Non Group	\$1,250
Group Plan & Fleet	\$1,250
COMPREHENSIVE	
Standard Non Group	\$1,800
Group Plan & Fleet	\$1,650
Product Types: ACF, ACG, AOG, AGT, AHR, ARF, ARN Risk Type: AOG, AGT, AHT, ARC, ARP	

Note: The premiums noted above are Pre-Tax and subject to the usual Mandatory Portfolio charge, along with additional charges where applicable for Windscreen Cover and Special Perils.

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15.2 BASIC RATES – OWN GOODS, GENERAL TRANSPORT, TAXIS/MAXI TAXIS/BUSES (TRINIDAD)
RATING (Note: These rates may be amended from time to time to take into account various Promotions that the company may embark upon).

TRINIDAD			
	(a) OWN GOODS	(b) GENERAL TRANSPORT	(c) TAXIS/MAXI TAXIS/OMNIBUSES (Third Party Coverage only)
	The basis of rating is the RAC (Royal Automobile Club) horse power of the vehicle, the tonnage and the value as declared at the time of acceptance or renewal		The basis of rating is the horse power of the vehicle and the seating capacity of the vehicle
Third Party	Up to 16hp \$2,100 16.1 to 29.9 hp \$2,300 30 hp and over \$2,750 Plus \$24 per vehicle in excess of 5 tons Plus \$25 per seat in excess of 5 seats	Up to 16hp \$2,750 16.1 to 29.9 hp \$3,150 30 hp and over \$3,600 Plus \$75 per vehicle in excess of 5 tons Plus \$25 per seat in excess of 5 seats	Up to 16hp \$2,050 (1600 CC) 16.1 to 29.9 hp \$2,650 (1600 – 3000 CC) 30 hp and over \$3,000 (over 3000 CC) Plus \$135 per seat in excess of 6 seats including the driver's seat
Third Party Fire & Theft	5% of Sum Insured plus: Up to 16hp \$1,750 16.1 to 29.9 hp \$1,900 30 hp and over \$2,300	5% of Sum Insured plus: Up to 16hp \$2,300 16.1 to 29.9 hp \$2,645 30 hp and over \$2,990	N/A
Comprehensive	12.00% of Sum Insured plus: Up to 16hp \$1,750 16.1 to 29.9 hp \$1,900 30 hp and over \$2,300	15.75% of Sum Insured plus: Up to 16hp \$2,300 16.1 to 29.9 hp \$2,645 30 hp and over \$2,990	N/A

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15.2.1 BASIC RATES - OWN GOODS, GENERAL TRANSPORT, TAXIS/MAXI TAXIS/BUSES (TOBAGO)

Note: These rates may be amended from time to time to take into account various Promotions that the company may embark upon).

	TOBAGO		
	(a) OWN GOODS	(b) GENERAL TRANSPORT	(c) TAXIS/MAXI TAXIS/ OMNIBUSES (Third Party Coverage only)
	The basis of rating is the RAC (Royal Automobile Club) horse power of the vehicle, the tonnage and the value as declared at the time of acceptance or renewal		The basis of rating is the H.P. and seating capacity of the vehicle
Third Party	Up to 16hp \$1,200 16.1 to 29.9 hp \$1,450 30 hp and over \$1,600 Plus \$15 per vehicle in excess of 5 tons Plus \$25 per seat in excess of 5 seats	Up to 16hp \$1,600 16.1 to 29.9 hp \$2,300 30 hp and over \$2,400 Plus \$24 per vehicle in excess of 5 tons Plus \$25 per seat in excess of 5 seats	Up to 16hp \$1,300 (1600 CC) 16.1 to 29.9 hp \$2,100 (1600-3000 CC) 30 hp and over \$2,700 (over 3000 CC) Plus \$135 per seat in excess of 6 seats
Third Party Fire & Theft	3.5% of Sum Insured plus: Up to 16hp \$1,000 16.1 to 29.9 hp \$1,200 30 hp and over \$1,350	3.5% of Sum Insured plus: Up to 16hp \$1,350 16.1 to 29.9 hp \$1,900 30 hp and over \$2,000	N/A
Comprehensive	9% of Sum Insured plus: Up to 16hp \$1,000 16.1 to 29.9 hp \$1,200 30 hp and over \$1,350	13.75% of Sum Insured plus: Up to 16hp \$1,350 16.1 to 29.9 hp \$1,900 30 hp and over \$2,000	N/A

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15.3 LONG TERM RENTALS – COMMERCIAL VEHICLES (TRINIDAD)

Long term means twelve consecutive months or longer.

	TRINIDAD	
	PRIVATE RENTALS “R”	COMMERCIAL RENTALS “T”
Third Party	\$2,250.00 Plus \$25 per seat in excess of 5 seats	\$3,450.00 Plus \$24 per vehicle in excess of 5 tons Plus \$25 per seat in excess of 5 seats
Third Party Fire & Theft	5% of Sum Insured plus \$1,895	5% of Sum Insured plus \$2,875
Comprehensive	13% of Sum Insured plus \$1,895	17% of Sum Insured plus \$2,875
SHORT TERM RENTALS – COMMERCIAL VEHICLES (less than 12 months)		
Use Long Term Rentals Rates loaded by 25%		

15.3.1 LONG TERM RENTALS – COMMERCIAL VEHICLES (TOBAGO)

	TOBAGO	
	PRIVATE RENTALS “R”	COMMERCIAL RENTALS “T”
Third Party	\$1,700.00 Plus \$25 per seat in excess of 5 seats	\$2,400.00 Plus \$24 per vehicle in excess of 5 tons Plus \$25 per seat in excess of 5 seats
Third Party Fire & Theft	3.5% of Sum Insured plus \$1,400	3.5% of Sum Insured plus \$2,000
Comprehensive	9% of Sum Insured plus \$1,400	15.5% of Sum Insured plus \$2,000
SHORT TERM RENTALS - COMMERCIAL VEHICLES (less than 12 months)		
Use Long Term Rentals Rates loaded by 25%		

Agents are required to submit all proposals for General Transport, Taxis/Maxi Taxis/Omnibuses/Private & Commercial Rentals to Head Office for consideration.

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15.4 LOADINGS – COMMERCIAL VEHICLES

All Products	
Criteria	Loading
Drivers less than 20 years of age	50%
Drivers 20-25 years of age	35%
Drivers with less than 2 years driving experience	15%
Persons Learning to drive (tuition), and/or using the vehicle for Examination purposes	50%
Other Loadings may be applied at Underwriters' discretion e.g. claims experience	U/W's discretion

The above loadings are designed to be combined where the risk presented falls into more than one category.

Example: A Driver may be under 25 years of age (35%) AND inexperienced with driving experience of under 2 years (15%) = Total Loading 50%.

15.5 Discounts

There are many types of discounts which may be available to a proposer/insured. These discounts are broadly described as follows:-

- Anti-Theft Discounts
- Special Discount
- Voluntary Excess Discount
- No Claim Discount

15.5.1 ANTI-THEFT DEVICES/DISCOUNTS – COMMERCIAL VEHICLES

An Anti-Theft Device discount may be given on Comprehensive and Fire & Theft coverage where an approved anti-theft device has been installed in the insured vehicle and is in working condition.

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15.5.2 ANTI-THEFT DEVICES – PICK UPS

The following is a table of approved anti-theft devices and their applicable discounts:-

ANTI THEFT DEVICE	PRIVATE DISCOUNT
MUL-T-LOCK	10%
IMMOBILISER	10%
FACTORY INSTALLED (By Manufacturer)	10%
CAR SEARCH(on active certificates Only)	15%
Tracking or GPS devices	10% tracking only or 15% tracking plus alarm
Alarms that have a minimum of 3 Immobilization Points in the vehicle. Standard Immobilization Points are: • The Ignition • The Starter • The Fuel (Electronic Fuel Line)	10%

15.5.3 Special Discounts (**Note: These discounts may be amended from time to time to take into account various Promotions that the company may embark upon**).

There are different types of special discounts namely:

- 10% Over 45 years of age
- 10% Other business or other vehicle
- 10% TAA Members
- 10% Woman Driver (25 years & over and driving more than (2) years accident free & must NOT be that of a salesperson/travel officer and other like occupations)
- 10% Loyalty Customer (applicable after 3 years)
- Groups – Normal UW Procedures to apply/negotiable
- Underwriter's/Manager's Discretion (must be noted on risk Black Board)

If the Insured qualifies for more than one discount, the maximum number of discounts that are allowed are:

THIRD PARTY ONLY	1 Special Discount + Applicable NCD
THIRD PARTY FIRE & THEFT	1 Special Discount + Anti-Theft + Applicable NCD
COMPREHENSIVE	1 Special Discount + Anti-Theft + Applicable NCD Under special circumstances a second special discount may be considered. Refer to Head Office for consideration.

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15.5.4 NO CLAIM DISCOUNTS – COMMERCIAL VEHICLES

Provided no claim is made or arises under the Policy during a Period of Insurance specified below immediately preceding the renewal of the Policy, the following No Claim Discount will be given :-

PERIOD OF INSURANCE	COMPREHENSIVE	THIRD PARTY & THIRD PARTY FIRE & THEFT
The preceding year	20%	15%
The preceding two (2) consecutive years	25%	20%
The preceding three (3) consecutive years	30%	25%
The preceding four (4) consecutive years	40%	35%

Step Back NCD - (Comprehensive Cover only Commercial Vehicles)

If not more than one claim is made after at least a third year discount is earned, our 'Step Back' rule will apply as follows:-

NO CLAIM PERIOD	NO CLAIM DISCOUNT	'STEP BACK' to
First year	20%	Nil
Second year	25%	Nil
Third Year	30%	20%
Fourth Year	40%	25%

15.6 OPTIONAL EXTRA BENEFITS – COMMERCIAL VEHICLES

BENEFIT	LIMIT	COST
A - Special Perils (Flood, Hurricane, Windstorms, Earthquake, Tornado, Volcanic Eruptions and other convulsions of nature)	Sum Insured	0.5% of the sum insured
B- Windscreen Damage If a claim is settled the Compulsory excess is not deducted and the No Claim Discount is not lost	UP TO \$2,500 \$2,501 to \$15,000 Over \$15,000 Refer to: Senior Underwriter	\$150 \$150 plus 10% of the difference in excess of \$2,500
C – Increased Legal Expenses – Manslaughter	Insured's request in excess of \$10,000	1% of limit in excess of \$10,000
D - Increased Third Party Limits of Liability)	See below	See below
E Tool of Trade		\$500 per vehicle

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Tool of Trade – What is covered

Death, bodily injury or damage arising out of the operation as a tool of trade of the **Insured Vehicle** or of *plant, apparatus, equipment or machinery* forming part of such **Insured Vehicle** or attached thereto except so far as is necessary to meet the requirements of the **Legislation**.

Tool of Trade means: a Vehicle that has tools, implements, machinery or plant attached to or towed by the Vehicle and is being used on a Worksite. Tool of Trade does not include any Vehicle whilst travelling to or from a Worksite or Vehicles that are used to carry goods to or from any premises.

In the context of a motor insurance policy, "tools of trade" refers to tools and equipment that are used by the insured in their occupation or business. This typically includes items that are carried in or on the insured vehicle and are necessary for performing their job. For example, for a tradesperson like a carpenter, plumber, or electrician, tools of trade would include their hand tools, power tools, and other job-specific equipment.

Insurance policies often have specific provisions regarding tools of trade, including coverage limits and conditions under which they are insured. It is important to review the policy details to understand what is covered, any exclusions, and any additional coverage that may be needed to fully protect these items.

Webstar Endorsement code: TOT

Notwithstanding exception ix to Section II of this policy but otherwise subject to the terms...exceptions limits and conditions of this policy the company will indemnify the insured against all...sums which the insured shall become legally liable to pay as damages for bodily injury to any...person and/or loss of or damage to property caused by an accident arising out of the use as a tool...by the insured of the vehicle described in the schedule of this policy excluding liability in...respect of which insurance is necessary to meet the requirements of the motor vehicles insurance...(THIRD PARTY RISKS) act chapter 48 no. 51 or any modification thereof for time being in force.

15.7 INCREASED LIMITS OF THIRD PARTY LIABILITY (NON-STANDARD LIMITS)

Agents are required to submit all applications for Increased Limits of Liability to Head Office for consideration.

Requests for increased Limits of Liability must be considered on a case by case basis and as such must be referred to Head Office. For example: An Insured may require higher limits in order to fulfill contractual obligations.

Underwriters must adhere to the following:

- (i) Underwriters are **NOT** to allow any increased limits of liability to new clients unless approved by the **Operations Lead**.
- (ii) Clients **MUST** provide a copy of the contract showing the insurance requirements to be satisfied and details of the works
- (iii) The criteria for allowing increased limits should be on a strict accommodation basis unless otherwise **approved by the Operations Lead**. *The Underwriter is also to take into consideration the client claims history, size of the portfolio with GGIL, the history of the client.*
- (iv) The **underwriting authority limits of liability for Motor Third Party BI and PD was revised**, reducing the authority to the Operations Lead from **5 MIL USD to 3 MIL USD**. Limits above this is to be approved by the **CTO/COO**.

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Bodily Injury Limits	Property Damage Limits	% of TP Premium
\$6,300,000	\$6,300,000	150%
\$6,500,000	\$6,500,000	160%
\$6,800,000	\$6,800,000	180%
\$12,600,000	\$12,600,000	300%
\$31,500,000	\$31,500,000	400%

15.7.1 SHORT TERM RATES/PREMIUM

The following is the scale of short-term rates/premiums: -

PERIOD	PREMIUM TO BE CHARGED	
1-3 days	10% of annual premium	Minimum of \$100.00
Not exceeding 1 week	12.5% of annual premium	Minimum of \$100.00
Not exceeding 1 month	25% of annual premium	Minimum of \$100.00
Not exceeding 2 months	37.5% of annual premium	Minimum of \$100.00
Not exceeding 3 months	50% of annual premium	Minimum of \$100.00
Not exceeding 4 months	60% of annual premium	Minimum of \$100.00
Not exceeding 6 months	70% of annual premium	Minimum of \$100.00
Not exceeding 8 months	80% of annual premium	Minimum of \$100.00
Exceeding 8 months	FULL ANNUAL PREMIUM	

Where an existing policy is being cancelled, the above rates must also be used unless the reason for cancellation justifies the application of a pro rata premium, for example:

- Replacing one policy/vehicle with another
- Deletion of vehicle(s) from the policy
- Insured migrating

Minimum Premium

Effective 1st February the minimum premium was increased from \$500 to \$1,000 and minimum transaction premium of \$150, plus tax included for addition of a risk and \$100 plus tax for endorsements.

Minimum Annual Premium: \$1,000. plus tax

Minimum transaction premium \$150. Plus tax

Subrogation Waiver

(Agents and Binding Brokers are required to submit all applications for Subrogation Waiver to Head Office for consideration).

In special circumstances an Insured may request a Subrogation Waiver in favour of a Principal for whom he is working. Each such request must be considered on a case by case basis. Where an accommodation is made the name of the Principal and a reference to the specific contract must be noted on the Subrogation Waiver endorsement. An additional premium is optional.

15.8 STANDARD LIMITS OF LIABILITY – COMMERCIAL VEHICLES

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DETAILS	Own Goods/General Transport	SPECIAL TYPES	MOTOR TRADE/ CONTINGENCY	LONG/SHORT TERM RENTALS/TAXI /MAXI/BUSES
ITEM		LIMIT	LIMIT	LIMIT
Section 2				
Protection & Removal	\$750	\$750	\$750	\$750
Section 3				
Bodily Injury				
-in respect of any claim by any one person	\$2,000,000	\$2,000,000	\$1,500,000	\$1,500,000
-in respect of a series of claims arising out of one event	\$4,000,000	\$4,000,000	\$3,000,000	\$3,000,000
Property Damage				
-in respect of any claim by any one person	\$1,000,000	\$1,000,000	\$ 750,000	\$750,000
-in respect of a series of claims arising out of one event	\$2,500,000	\$2,500,000	\$1,500,000	\$1,500,000
Legal Charges (Manslaughter)	\$10,000	\$10,000	\$10,000	\$10,000
Emergency Treatment				
-in respect of any claim by any one person	\$1,000	\$1,000	\$1,000	\$1,000

15.9 EXCESSES – COMMERCIAL VEHICLES

15.9.1 Standard Excess

We will not pay the first sum as stated below of any claim for loss or damage under Section 2 – Loss or Damage. These Excesses apply to each Vehicle separately.

In the case of a Total Loss, the Percentage stated is of the Sum Insured or Market Value whichever is the lesser at the time of the Loss or Damage.

In the case of a Partial Loss, the Percentage stated is of the Sum Insured at the time of the Loss or Damage. If no Percentage is stated the Minimum Excess applies.

Excess Clause	Percentage	Minimum Excess
(1) Under Section 2 Sub-section 1 whilst the Motor Vehicle is being driven by		N/A

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the Insured or his spouse as an Authorised Driver and not otherwise falling within the description under (2) below.

(2) Under Section 2 Sub-section 1 whilst the Motor Vehicle is being driven by any Authorised Driver who is under the age of 25 years or who is the holder of a learner's permit or who is the holder of a driving permit which has been in force for less than 2 years.	7.50%	\$3,500
(3) Under Section 2 Sub-section 1 whilst the Motor Vehicle is being driven by any person other than an Authorised Driver described under (1) and (2) above.	4.00%	\$1,500
(4) Under Section 2 Sub-section 1 when any of the provisions in (1) to (3) above do not apply.	3.00%	\$1,500
(5) Under Section 2 Sub-section 1 (a) and (b) in respect of Fire, Explosion, Self-Ignition, Lightning, Burglary, Housebreaking or Theft or any attempt thereat.	5.00%	\$2,500

15.9.2 Voluntary Excess

It is hereby declared and agreed that in consideration of a discounted premium, Section 2 of this Policy is subject to a Voluntary Excess as stated in the Schedule.

This Voluntary Excess is your contribution towards the cost of a claim (other than a claim for windscreen damage only) and is in addition to any other Excess under the Excess Clause which may be applicable.

Voluntary Excess: \$x,xxx

16. SPECIAL TYPE VEHICLE UNDERWRITING

Special type vehicles present a series of unique challenges as agricultural vehicles like tractors, backhoes and cranes are normally required to work in dangerous terrain in hazardous weather conditions and even with a very experienced driver, accidents happen e.g. they overturn on steep hillsides, the boom breaks with the weight of the load etc. while trailers usually transport very heavy large equipment/goods that are of extremely high values in terms of the direct cost of the equipment.

These risks need to be very carefully considered when cover is being offered and the following additional matters need to be considered in the case of industrial trailers and similar vehicles.

The goods/equipment moved by these vehicles may be container buildings, over-sized, specially-made industrial equipment (such as boilers, turbines, generators) and construction components (such as bridge or tunnel segments) that need to be delivered over long distances.

16.1 RISK ASSESSMENT

A proper risk assessment must be done and the criteria to be considered in accepting the risk are:-

16.1.1 Transporting Goods/Equipment

Transport companies must do a proper analysis when they are hired to transport certain types of goods/equipment. They must sometimes develop new methods, devices and equipment that are custom-designed for these individual transportation projects. Although certain types of goods/equipment can be moved with a single tractor-trailer combination, other assignments may require either that existing equipment be modified to the particular needs of the job, or that custom transporting equipment must be fabricated for one-time use.

In these cases, the equipment could include prime movers, modular platform trailers, hydraulic trailers and self-propelled hydraulic platform units. The manufacturer's instructions must always be strictly adhered to and it must be ensured that proper loss control is implemented e.g. no overloading of tyres, rims etc.

In the loading and unloading, it is sometimes necessary for specialized equipment to be used e.g. cranes and hydraulic lift systems. These exercises may involve rigging and equipping for extremely heavy lifts and great care must be taken as the potential for serious damage is high.

16.1.2 Packaging

The nature of the cargo, length of the trip, and the exposures faced during transport all dictate the type of packaging that will be sufficient to protect the goods/equipment against the elements. Sometimes a simple canvas tarpaulin will suffice. Other situations may require shrink wrapping in plastic, the introduction of moisture absorbing agents or other ventilation, heating or cooling provisions, or the application of preservatives for corrosion protection of exposed bearings and parts as damage to the packaging especially on long journeys could result in shifting/falling of the goods/equipment

16.1.3 Stowing and Securing

Cargo/equipment being transported may shift, detaching itself from the transporting vehicle or cause the vehicle to overturn while serious damage can be caused by insufficient overhead clearance along the intended routes. These exposures underscore the need for careful planning in all aspects of these journeys e.g. the stowing and securing of loads, the routes, times of day etc.

The stowing and securing of heavy cargo/equipment must consider the equipment's center of gravity, the weight, the static and dynamic loads upon the equipment and the bracing material. The blocking and securing

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should be sufficient to prevent the cargo from shifting in any direction and also take into account the fact that the position of the cargo during transport may be completely different from its positioning when installed for service e.g. a refining vessel that is designed to be installed in a vertical position may have to be transported in a horizontal position, thus requiring special bracing/supports.

16.1.4 Routing Considerations

Any road transportation involves the risk of collision with another vehicle or object and/or overturning so transport companies must carefully plan their routes and times of travel to transport large, bulky cargo/equipment.

Many factors including the size and weight of the cargo/equipment will affect the logistics of the transport. A longer distance could mean a more complex and challenging route and in some cases, police permission and escort may be required. The roads must be able to support the load and overpasses and underpass clearances including trees and power lines must be catered for so the route should be pre-checked to ensure that everything is in place for a safe journey. In addition, exposure to vandalism and malicious damage/theft must be considered on long trips if goods/equipment is left overnight in unprotected areas or are a political target by their nature as losses can result.

Once the journey begins, there should always be a lead escort warning vehicle with a clearance pole with sensors to identify any objects that will cause a collision and a trail escort vehicle with warning signals and flashing lights to warn oncoming traffic of the slow moving vehicle. This precaution allows the traffic to reduce speed or change lanes thus avoiding rear-end collisions or sudden stopping that might cause a multiple vehicle accident.

16.1.5 Permits, Authorization, Local Coordination

The transporting of heavy equipment may be subject to legislative and licensing requirements so they must be obtained. The configuration of the trailer or conveyance is dictated by state weight per axle regulations and the total combined weight of the load and conveyance could be used to determine how many axles are needed for the allowable weight distribution.

Legal requirement and good practice dictates that oversized loads should display appropriate warnings and markings and local requirements may vary in dictating whether transport must occur during daytime or at night, or on weekends or holidays e.g. "super" loads may be required to travel at night or during early morning hours to avoid traffic delays and must have a police escort.

16.1.6 Carrier/Driver Experience, Supervision and Control

Transport companies need to be flexible and innovative. The company's experience and the driver's experience in the successful completion of these trips are critical factors and can make the difference between a successful delivery and a serious loss/accident.

An experienced transport companies would have made repeat trips with similar cargo/equipment (i.e., boilers, bridge spans, etc.) and this should be reassuring to the underwriter as this can be a guide to future performance. However, underwriters should not only consider a loss-free history but should also examine the company's safety performance or the company's workers' compensation experience which may also provide indicators of future performance.

A loss control engineering inspection of the company's facilities can help determine management's level of commitment to loss prevention and operation planning such as the condition of the equipment.

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16.1.7 Contractual Obligations

There may be times when the underwriter would have to review the contract for the movement of the cargo/equipment especially in cases where the proposer has no experience in transporting the type of cargo/equipment. This will enable him/her to ensure that the proper loss control measures are in place to minimize any losses and it may alert him/her to possible transfers of liability.

In addition, the underwriter should also be aware of the legal liability and its impact on potential subrogation and may have to tailor the exclusions and conditions of the policy to suit the particular risk.

16.2 RATES - SPECIAL TYPE VEHICLES

Third Party Only

N.B. NO CLAIMS DISCOUNT ARE NOT ALLOWED ON THESE TYPES OF VEHICLES.

These vehicles are rated according to the type of vehicle or the use of the vehicles.

RATES ARE THE SAME FOR TRINIDAD AND TOBAGO POLICIES		
Type of Vehicle	Premium	
Agricultural and Forestry Vehicles	\$575	
Agricultural and Forestry Trailers	\$575	
Site Clearing and Levelling Vehicles	\$575	
Site clearing and Levelling Trailers	\$575	
Mobile Plant	\$575	
Compressors	\$575	
Cranes	\$1,725	
Forklift Trucks	\$575	
Road Rollers	\$575	
Water Carts/Welding Plants	\$575	
Bulldozers	\$575	
Boat Trailers	\$575	
Trailers	\$575	TONNAGE First 5 tons – free Over 5 tons - charge \$75
Industrial Trailers	\$1,500	
OTHERS	TO BE RATED AS	
Concrete Mixers	General Cartage	
Hearses	General Cartage	
Dump Trucks/Tankers	General Cartage	
Gasoline Trucks/Tankers	General Cartage	
Ambulances	Own Goods	

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Effective **August 1st, 2023**, the following **minimum annual premiums** are now applicable to both **Renewals** and **New Business for Special Type Motor Products**:

Category of Risk	MINIMUM ANNUAL PREMIUMS TT\$
Motor Contingent	\$1,500
Special Type	\$575
Trailers –Private	\$575
Trailers –Commercial	\$850
Product Types: ACL, AST Risk Type: AST, ATC, ACL	

Note: The premiums noted above are Pre-Tax and subject to the usual Mandatory Portfolio charge, along with additional charges where applicable for Windscreen Cover and Special Perils

All Products	
Criteria	Loading
Drivers less than 20 years of age	50%
Drivers 20 - 25 years of age	35%
Drivers with less than 2 years driving experience	15%
Persons Learning to drive (tuition), and/or using the vehicle for Examination purposes	50%
Other Loadings may be applied at Underwriters' discretion e.g. claims experience	U/W's discretion

The above loadings are designed to be combined where the risk presented falls into more than one category.

Example: A Driver may be under 25 years of age (35%) AND inexperienced with driving experience of under 2 years (15%) = Total Loading 50%.

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16.2.2 Rating of Optional Extra Benefits – Special Type Vehicles

BENEFIT	LIMIT	COST
Increased Legal Expenses - Manslaughter	Insured's request in excess of \$10,000	1% of limit in excess of \$10,000
Increased Third Party Limits of Liability)	Refer to Head Office	Refer to Head Office
Tool of Trade		\$500 per vehicle

16.2.3 Increased Limits of Third Party Liability – Non Standard Limits – Special Type Vehicles

Agents and Binding Brokers are required to submit all proposals for Increased Limits of Liability to Head Office for consideration.

Requests for increased Limits of Liability must be considered on a case by case basis. For example: An Insured may require higher limits in order to fulfill contractual obligations.

Underwriters must adhere to the following:

- (i) Underwriters are **NOT** to allow any increased limits of liability to new clients unless approved by the **Operations Lead**.
- (ii) Clients **MUST** provide a copy of the contract showing the insurance requirements to be satisfied and details of the works
- (iii) The criteria for allowing increased limits should be on a strict accommodation basis unless otherwise **approved by the Operations Lead**. *The Underwriter is also to take into consideration the client claims history, size of the portfolio with GGIL, the history of the client.*
- (iv) The **underwriting authority limits of liability for Motor Third Party BI and PD was revised**, reducing the authority to the Operations Lead from **5 MIL USD to 3 MIL USD**. Limits above this is to be approved by the **CTO/COO**.

Bodily Injury Limits	Property Damage Limits	% of TP Premium
\$6,300,000	\$6,300,000	150%
\$6,500,000	\$6,500,000	160%
\$6,800,000	\$6,800,000	180%
\$12,600,000	\$12,600,000	300%
\$31,500,000	\$31,500,000	400%

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16.2.4 Short Term Rates/Premium – Special Type Vehicles

The following is the scale of short-term rates/premiums: -

PERIOD	PREMIUM TO BE CHARGED	
1-3 days	10% of annual premium	Minimum of \$100
Not exceeding 1 week	12.5% of annual premium	Minimum of \$100
Not exceeding 1 month	25% of annual premium	Minimum of \$100
Not exceeding 2 months	37.5% of annual premium	Minimum of \$100
Not exceeding 3 months	50% of annual premium	Minimum of \$100
Not exceeding 4 months	60% of annual premium	Minimum of \$100
Not exceeding 6 months	70% of annual premium	Minimum of \$100
Not exceeding 8 months	80% of annual premium	Minimum of \$100
Exceeding 8 months	FULL ANNUAL PREMIUM	

Minimum Premium - The minimum premium applicable for a new policy is \$500.00 plus Government tax

16.2.5 Standard Limits of Liability – Special Type Vehicles

DETAILS	SPECIAL TYPES
ITEM	LIMIT
Section 2 Protection & Removal	\$750
Section 3 Bodily Injury -in respect of any claim by any one person -in respect of a series of claims arising out of one event	
Property Damage -in respect of any claim by any one person -in respect of a series of claims arising out of one event	\$2,000,000 \$4,000,000
Legal Charges (Manslaughter)	\$1,000,000 \$2,500,000
Emergency Treatment -in respect of any claim by any one person	\$10,000
	\$1,000

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17. MOTORCYCLE UNDERWRITING

The criteria that are used for the underwriting of the Private Motor Vehicle Policy are also applicable to Motor Cycles.

This type of business is only written on an accommodation basis. The policies are issued on a named driver basis to persons over twenty five (25) years of age and driving for more than two (2) years.

Underwriters must refer all foreign used motorcycles to their upline for consideration.

17.1 RATES - MOTORCYCLE

The minimum rating value is \$15,000 applicable to Comprehensive and Third Party Fire & Theft cover only

TYPES OF COVER	RATES
Third Party	Under 1000 cc \$ 1,450 1000 cc and Over \$ 1,800
Third Party Fire & Theft	10% of the value plus third party premium
Comprehensive	\$18.00 per \$100.00 of value (inclusive of Third Party Risks).

Effective August 1st, 2023, the following minimum annual premiums are now applicable to both Renewals and New Business for the Motor Cycle Product:

Category of Risk	MINIMUM ANNUAL PREMIUMS TT\$
Motorcycle	\$800
Product Types: AMC Risk Type: AMC	

Note: The premiums noted above are Pre-Tax and subject to the usual Mandatory Portfolio charge

17.2 Loadings – Motor Cycle

All Products Criteria	Loading
Young Drivers less than 20 years of age	50%
Young Drivers 20-25 years of age	35%
Mature Drivers with less than 2 years driving experience	15%

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Persons Learning to drive (tuition), and/or using the vehicle for Examination purposes	50%
Other Loadings may be applied at Underwriters' discretion e.g. claims experience	U/W's discretion

The above loadings are designed to be combined where the risk presented falls into more than one category.

Example: A Young Driver may be under 25 years of age (35%) AND inexperienced with driving experience of under 2 years (15%) = Total Loading 50%.

17.3 Discounts - Motorcycle

There are many types of discounts which may be available to a proposer/insured. These discounts follow:-

- Special Discounts
- No Claim Discount

Special Discount – Motorcycle - Underwriter's/Manager's Discretion

No Claim Discount (NCD) – Motor Cycle

Provided no claim is made or arises under the Policy during a Period of Insurance specified below immediately preceding the renewal of the Policy, the following No Claim Discount will be given.

PERIOD OF INSURANCE	All Cover Types
The preceding year	15%
The preceding two (2) consecutive years	20%
The preceding three (3) consecutive years	25%
The preceding four (4) consecutive years	35%

17.4 Rating of Optional Extra Benefits - Motorcycle

BENEFIT	LIMIT	COST
Increased Legal Expenses - Manslaughter	Insured's request in excess of \$10,000	1% of limit in excess of \$10,000
Increased Third Party Limits of Liability)	Refer to Head Office	Refer to Head Office
Special Perils (Flood, hurricane, windstorm, earthquake, tornado, volcanic eruptions and other convulsions of nature)	Sum Insured	0.5% of the sum insured

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17.4.1 Increased Limits of Third Party Liability – (Non Standard Limits) - Motorcycle

Agents are required to submit proposals for Increased Limits of Liability to Head Office for consideration.

Requests for increased Limits of Liability must be considered on a case by case basis. For example: An Insured may require higher limits in order to fulfill contractual obligations.

Underwriters must adhere to the following:

- (i) Underwriters are **NOT** to allow any increased limits of liability to new clients unless approved by the **Operations Lead**.
- (ii) Clients **MUST** provide a copy of the contract showing the insurance requirements to be satisfied and details of the works
- (iii) The criteria for allowing increased limits should be on a strict accommodation basis unless otherwise **approved by the Operations Lead**. *The Underwriter is also to take into consideration the client claims history, size of the portfolio with GGIL, the history of the client.*
- (iv) The **underwriting authority limits of liability for Motor Third Party BI and PD was revised**, reducing the authority to the Operations Lead from **5 MIL USD to 3 MIL USD**. Limits above this is to be approved by the **CTO/COO**.

Bodily Injury Limits	Property Damage Limits	% of TP Premium
\$6,300,000	\$6,300,000	150%
\$6,500,000	\$6,500,000	160%
\$6,800,000	\$6,800,000	180%
\$12,600,000	\$12,600,000	300%
\$31,500,000	\$31,500,000	400%

Minimum Annual Premium - The minimum premium applicable per policy is \$800.00 plus motor portfolio charge plus Government tax.

Minimum transaction premium - \$150 plus tax

17.4.2 Subrogation Waiver - Motorcycle

(Agents are required to submit all applications for Subrogation Waiver to Head Office for consideration).

In special circumstances an Insured may request a Subrogation Waiver in favour of a Principal for whom he is working. Each such request must be considered on a case by case basis. Where an accommodation is made the name of the Principal and a reference to the specific contract must be noted on the Subrogation Waiver endorsement. An additional premium is optional.

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17.4.3 Standard Limits of Liability – Motor Cycle

DETAILS	STANDARD
ITEM	LIMIT
Section 2	
Protection & Removal	\$250
Section 3	
Bodily Injury	
-in respect of any claim by any one person	\$1,500,000
-in respect of a series of claims arising out of one event	\$3,000,000
Property Damage	
-in respect of any claim by any one person	\$750,000
-in respect of a series of claims arising out of one event	\$1,500,000
Legal Charges (Manslaughter)	\$10,000
Emergency Treatment	
-in respect of any claim by any one person	\$1,000

17.5 Excesses – Motorcycle

17.5.1 Standard Excess

We will not pay the first sum as stated below of any claim for loss or damage under Section 2 – Loss or Damage. These Excesses apply to each cycle separately.

In the case of a Total Loss, the Percentage stated is of the Sum Insured or Market Value whichever is the lesser at the time of the Loss or Damage.

In the case of a Partial Loss, the Percentage stated is of the Sum Insured at the time of the Loss or Damage. If no Percentage is stated the Minimum Excess applies.

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Excess Clause	Percentage	Minimum Excess
(1) Under Section 2 Sub-section 1 whilst the Motor Cycle is being driven by the Insured or his spouse as an Authorised Driver and not otherwise falling within the description under (2) below.	10.00%	\$750
(2) Under Section 2 Sub-section 1 whilst the Motor Cycle is being driven by any Authorised Driver who is under the age of 25 years or who is the holder of a learner's permit or who is the holder of a driving permit which has been in force for less than 2 years.	10.00%	\$750
(3) Under Section 2 Sub-section 1 whilst the Motor Cycle is being driven by any person other than an Authorised Driver described under (1) and (2) above.	10.00%	\$750
(4) Under Section 2 Sub-section 1 when any of the provisions in (1) to (3) above do not apply.	10.00%	\$750
(5) Under Section 2 Sub-section 1 (a) and (b) in respect of Fire, Explosion, Self-Ignition, Lightning, Burglary, Housebreaking or Theft or any attempt thereat.	10.00%	\$750

18. MOTOR TRADE POLICY – UNDERWRITING

Motor Trader's Insurance (or Motor Trade Insurance) is specifically designed for Motor Traders.

A **Motor Trader** may be defined as any person, entity or corporate body who is involved in the motor trade.

The motor trade consists of any activity involving the sale, resale, service, repair, upkeep, overhaul or maintenance of motor vehicles.

Anyone who provides any type of service in relation to motor vehicles is involved in the motor trade

Examples of Motor Traders include but are not limited to:

- New and used vehicle dealers / distributors, inclusive of foreign used vehicle
- Motor vehicle repairers
- Motor vehicle service / maintenance providers

18.1.1 TYPES OF MOTOR TRADE POLICIES

There are three (3) basic motor trader's policy types, namely:

- External Risks Policy
- Internal Risks Policy
- External and Internal Risks Policy

External Risks Policy

The External Risks policy responds to insured loss or damage while an insured vehicle is being **used or operated on a Public Road** in pursuance of sale, resale, service, repair, upkeep, overhaul or maintenance.

Internal Risks Policy

The Internal Risks policy responds to insured loss or damage while an insured vehicle is **in/on the insured's Garage Premise** in pursuance of sale, resale, service, repair, upkeep, overhaul, or maintenance.

External and Internal Risks Policy

The External and Internal Risks policy responds to insured loss or damage while an insured vehicle is **being used or operated on a Public Road and while in/on the insured's Garage Premise** in pursuance of sale, resale, service, repair, upkeep, overhaul or maintenance.

18.1.2 TYPES OF COVER

Within each of the three (3) policy types mentioned above, the Motor Trader may elect any one of the following three (3) cover types

- Third Party cover
- Third Party Fire and Theft cover
- Comprehensive cover

A combination of policy types and cover types gives the Motor Trader the opportunity to elect from nine (9) separate options as follows:

1. External Risks - Third Party Cover
2. External Risks - Third Party Fire and Theft Cover
3. External and Internal Risks - Comprehensive Cover

4. Internal Risks - Third Party Cover
5. Internal Risks - Third Party Fire and Theft Cover
6. Internal Risks - Comprehensive Cover

7. External and Internal Risks - Third Party Cover
8. External and Internal Risks - Third Party Fire and Theft Cover

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9. External and Internal Risks - Comprehensive Cover

18.1.3 WHICH VEHICLES CAN BE INSURED

Insured's Unregistered Motor Vehicles

The Motor Trader may wish to insure his unregistered motor vehicles (new and foreign used vehicles in stock for sale), and his "Trade Plates" (Demonstration Plates) under the Motor Trade policy.

In this case the Motor Trader is not in a position to provide up front details of his unregistered motor vehicles because these motor vehicles pass through his hands on a continuous revolving basis. It would be impractical to give specific details of vehicles in this circumstance.

The Motor Trader may therefore seek to arrange his covers on the following basis:

Sum Insured / Limit of Liability in respect of:

- any one Unregistered Motor Vehicle / Trade Plate (Demonstration Plate)
- any one Event
- any one Period of Insurance

Customer's Motor Vehicles

The Motor Trader is generally responsible for the safety of his Customer's Motor Vehicles whilst they are in his possession for the purpose of sale, resale, service, repair, upkeep, overhaul or maintenance and may elect to insure them against accidental loss, damage or liability.

In this case the Motor Trader is not in a position to provide up front details of his customer's motor vehicles because these vehicles pass through his hands on a continuous revolving basis. It would be impractical to give specific details of vehicles in this circumstance.

The Motor Trader may therefore seek to arrange his covers on the following basis:

Sum Insured / Limit of Liability in respect of:

- any one Customer Motor Vehicle
- any one Event
- any one Period of Insurance

Registered Motor Vehicles

Many Motor Traders buy vehicles which are registered in someone else's name for purpose of resale. (A buy and sell business). While these vehicles are owned by the Motor Trader they may not be registered to the Motor Trader by the motor vehicle Licensing Authority.

The Motor Trader may therefore seek to arrange his covers on the following basis:

Sum Insured / Limit of Liability in respect of:

- any one Registered Motor Vehicle
- any one Event
- any one Period of Insurance

18.1.4 RISK EVALUATION

No two motor trade businesses are alike and **underwriters are required to thoroughly evaluate each proposal on a case by case basis**. Factors which must be considered, include, but are not necessarily limited to:

- Overall experience of the Motor Trader
- Size and complexity of the business
- Services provided by type / category
- Types, values and number of vehicles
- Number of staff by category
- Staff competency
- Safety / loss control procedures

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- Equipment and tooling
- Petrol tank on compound
- Technology
- Construction of garage facilities
- Garage capacity by vehicle count (service bays)
- Annual gross revenue - motor trade division
- Annual wages / salaries – motor trade division
- Previous loss / claims history – motor trade division
- Previous insurance history

18.1.5 GUIDELINES FOR SETTING SUMS INSURED FOR “OWN DAMAGE” COVERS

Insured’s Unregistered Motor Vehicles; Customer’s Motor Vehicles and Registered Motor Vehicles

The assessment of potential “own damage” risk exposures especially in an “internal risks” setting is often problematic because of unknown factors. For example, while maximum vehicle capacity might be known, types and makes and values of vehicles in/on the insured’s facility are unknown. This presents a challenge when determining “own damage” sums insured.

Selecting Sums Insured for unknown vehicles / unknown values is a major challenge. The Motor Trader would have an intimate knowledge of his business, both from a historical view point and from a current and future perspective. The Motor Trader would therefore be expected to bring this knowledge into play when considering Sums Insured for each of the following situations.

Any One Vehicle

The Motor Trader must consider the highest likely individual market value of insured’s unregistered motor vehicles in his possession, or under his care, custody or control. This is also true for customer’s motor vehicles as well as registered motor vehicles. This “**highest likely value**” should be the guide when selecting the Sums Insured in respect of “Any one Vehicle”. The Motor Trader would want to guard against the possibility of under insurance in respect of “Any one Vehicle”.

Any One Event

The Motor Trader must consider the highest likely possible loss in a “worst case” or “multi vehicle” scenario from a single event. This “**highest likely possible loss**” should be the guide when selecting Sums Insured in respect of “Any one Event”. The Motor Trader would want to guard against the possibility of under insurance in respect of “Any one Event”. This is particularly important in a garage or dealership setting where there may be multiple vehicles at any one time. A single fire, for example, may damage several vehicles of varying values, some of which may be high end units.

Any One Period of Insurance

There is always the possibility that a Motor Trader may suffer multiple loss events during any one Period of Insurance. In this context, he may wish to consider a Sum Insured at a level which would allow for more than one event during a Period of Insurance.

The Motor Trader may choose different sums insured for each category of insured motor vehicle.

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18.1.6 GUIDELINES FOR SETTING LIMITS OF LIABILITY FOR THIRD PARTY LIABILITY COVERS

Once the Motor Trader is using or operating an insured motor vehicle on a Public Road he is required to comply with all the provisions of the Motor Vehicle Insurance (Third Party Risks) Act. This means that he must carry, at least, the minimum amount of motor third party liability insurance stipulated in that Act.

Guardian General's standard motor third party liability limits are higher than the "Act Limits".

A Motor Trader may require different Limits of Liability for "External Risks" and "Internal Risks" respectively. When this situation occurs the rating must reflect it.

In Motor Trade policies where "unknown" vehicles and "unknown" values are insured, the "regular" motor rating method may not be appropriate and a different methodology would be employed.

Vehicles in the Motor Traders Possession

Insured's Unregistered Motor Vehicles

Because of the nature of the motor trade business, a Motor Trader may have scores of unregistered motor vehicles in his possession for a variety of reasons, during any defined period. This "possession" is usually of a "temporary" nature. For example, in the case of unregistered new or foreign used vehicles awaiting sale to the public at large, "temporary" could be a matter of days, or of weeks, although in some instances it could take "months" before a buyer comes along.

Customer's Motor Vehicles

With regard to customer's motor vehicles, "temporary" could be a matter of minutes, or of hours, or in some instances it could be days depending on what is being done to the customer's vehicle.

Registered Motor Vehicles

Like customer's motor vehicles, registered motor vehicles are usually in the Motor Trader's possession for relatively short or temporary periods.

Generally speaking, under a Motor Trade policy every vehicle which is in the possession of the Motor Trader is covered whilst in his possession, subject to policy exceptions and conditions.

18.1.7 CERTIFICATES OF INSURANCE

Where "Trade Plates" ("Demonstration Plates") are involved, **a separate Certificate of Insurance may be issued for each Plate, or a single Certificate of Insurance listing multiple Plates may be issued.** "Limitations as to Use" must be accurately described.

Where unregistered vehicles and/or customer's vehicles are involved, it would not be possible to issue Certificates of Insurance bearing the registration numbers of those vehicles. In these cases a "generalized description" of the covered vehicles may be used. Each case would be treated on its own merit and the "description" would be determined in accordance with each case.

18.1.8 RATING MOTOR TRADE

There is no standard methodology or algorithm for rating motor trade covers. This is because these covers vary in complexity from one extreme to the next. For example, the small "one man" facility who might be engaged in just one aspect of the motor trade would be very different when compared to the mega corporations who might be engaged in many different aspects of the motor trade business. Apart from that, there are several variations of the motor trade policy and a lot will depend on which version the insured elects.

Underwriters must therefore be alert and must be able to develop relevant, unique and innovative approaches when evaluating and setting terms and conditions for these covers.

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RATING METHODOLOGY

Own Damage

Owing to the vast differences in size, complexity and operations of the motor trade industry, and the wide variety of motor trade insurance products, it would be impractical to develop a “one cap fits all” risk evaluation process and rating methodology that would satisfy all requirements. **In this regard underwriters are required to carry out risk evaluation assessments and develop rating methodologies on a case by case basis.**

Because it is not practical to rate each and every individual vehicle which is in temporary possession by the Motor Trader during any given period, underwriters are required to adopt a more generalized approach to premium determination. The eventual premium / rate will be determined by the degree of hazard.

The following Rating Guidelines are intended to be just that – Rating Guidelines.

While the Guidelines are designed to be versatile and can accommodate variations, the actual rate / premium and other terms and conditions must be determined by the underwriter on a case by case basis.

With regard to Own Damage (OD) Cover, there are three (3) categories of vehicles namely:

- 1) Insured's Unregistered Vehicles / Trade Plates
- 2) Customers Motor Vehicles
- 3) Registered Motor Vehicles

Each category carries its own Sums Insured at three (3) different levels namely:

- 1) Any one Vehicle (AOV)
- 2) Any one Event (AOE)
- 3) Any one Period of Insurance (AOP)

These different levels may have different Sums Insureds or they may have the same Sum Insured. Ordinarily, the rate should apply to the AOE limit as this represents the maximum exposure per event. **However, a decision was taken by the Underwriting department to have only two (2) categories of sums insureds which are Any one Vehicle (AOV) and Any One Period (AOP), with the rate being applied to the AOP limit.**

Third Party Liability

The development of rates / premiums for the liability exposure aspect in an “Internal risk” setting (both “Internal Risks” Policy and “External and Internal Risks” policy) tends to follow similar patterns as those used for the development of rates / premiums when rating other forms of liability risks. For example, there is no one right or wrong way to develop terms and conditions for liability type risks. Each risk must be considered on its own merit and a rating methodology appropriate to that risk would be employed.

It often happens that there are multiple factors that can be taken into account when formulating liability premiums. The experienced underwriter would rely on the factor, or combination of factors, which, in his view, best represents the liability exposures. Having determined those factors, the underwriter would apply an appropriate rate to those factors to arrive at a provisional liability premium.

In the motor trade sector, “vehicle count” as a rating factor is not always a true reflection of the risk exposure but again, this must be determined by the underwriter on a case by case basis. Although “garage capacity”, by and large, remains fairly static, this rating factor by itself may not always be adequate for rating purposes.

Some underwriters use “annual gross revenue” as an acceptable rating factor for risk assessment as this provides an insight into the level of activity of the Motor Trader. Where “annual gross revenue” is considered insufficient, a combination of risk assessment factors may be employed to determine a provisional liability premium.

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Where provisional liability premiums are determined on estimated figures at the start of a Period of Insurance, it follows that a declaration of actual figures for the same period be provided at the close of the period. This is to facilitate a retrospective risk assessment based on actual known activity (after the period) and allow for a retrospective liability premium adjustment.

This “adjustment method” of rating is common place in other types of liability underwriting and is considered “fair” to both insurer and insured.

Where “adjustment type” rating is used, care must be taken to ensure that the policy carries a premium adjustment condition.

For “smaller” insureds a flat annual premium might be appropriate.

18.2 RATING GUIDELINES: MOTOR TRADERS EXTERNAL, INTERNAL AND EXTERNAL & INTERNAL EXTERNAL RISKS

Cover Type: **Third Party**

Unregistered Motor vehicles	\$300 per vehicle
Trade/Demonstration Plates	\$300 per trade plate
Drivers	\$300 per driver
Customers vehicles	\$300 per vehicle
Registered motor vehicles	\$300 per vehicle
Demonstration risks cover	25% of Third Party premium

OR

A rate applied to an appropriate risk assessment factor, or combination or risk assessment factors for example:-

- % of Annual Gross revenue
- A flat annual premium

Minimum Third Party premium: **\$1,500** + government tax

Cover Type: **Third Party Fire & Theft**

Unregistered Motor vehicles/D Plates	2.75% of Own Damage sum insured Any One Period
Customers vehicles	2.75% of Own Damage sum insured Any One Period
Registered motor vehicles	2.75% of Own Damage sum insured Any One Period

(Demonstration risks cover will be taken up in the Third Party premium)

OR

Rate multiplied by the Aggregate sum insured as declared by the Insured

PLUS

The Third Party Premium

Minimum Third Party Fire & Theft premium: **\$2,500** + government tax

Cover Type: **Comprehensive**

Unregistered Motor vehicles/D Plates	5% of Own Damage sum insured Any One Period
Customers vehicles	5% of Own Damage sum insured Any One Period
Registered motor vehicles	5% of Own Damage sum insured Any One Period

(Demonstration risks cover will be taken up in the Third Party premium)

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OR

Rate multiplied by the Aggregate sum insured as declared by the Insured

PLUS

The Third Party Premium

Minimum Comprehensive premium: **\$4,000** + government tax

INTERNAL RISKS

Cover Type: **Third Party**

Unregistered Motor vehicles	\$250 per vehicle
Trade/Demonstration Plates	\$250 per trade plate
Drivers	\$250 per driver
Customers vehicles	\$250 per vehicle
Registered motor vehicles	\$250 per vehicle
Demonstration risks cover	10% of Third Party premium

OR

A rate applied to an appropriate risk assessment factor, or combination of risk assessment factors for example:-

- % of Annual Gross revenue
- A flat annual premium

Minimum Third Party premium: **\$1,500** + government tax

NOTE: A lower rate was applied to 'internal' risks when compared to external because damage to the Registered/Unregistered/Customers vehicles is not covered. Only liability arising in connection with their use is covered, therefore these items are used as a guide to measure our exposure.

A lower rate was applied for 'Demonstration' because the 'internal' exposure is lower than 'external'

Cover Type: **Third Party Fire & Theft**

Unregistered Motor vehicles/D Plates	3.30% of Own Damage sum insured	Any One Period
Customers vehicles	3.30% of Own Damage sum insured	Any One Period
Registered motor vehicles	3.30% of Own Damage sum insured	Any One Period

(Demonstration risks cover will be taken up in the Third Party premium)

OR

Rate multiplied by the Aggregate sum insured as declared by the Insured

PLUS

The Third Party Premium

Minimum Third Party Fire & Theft premium: **\$3,000** + government tax

Note: The reason a higher rate and higher minimum premium was applied for internal, is if there is a fire in the garage, all vehicles can be destroyed.

Cover Type: **Comprehensive**

Unregistered Motor vehicles/D Plates	5% of Own Damage sum insured	Any One Period
Customers vehicles	5% of Own Damage sum insured	Any One Period
Registered motor vehicles	5% of Own Damage sum insured	Any One Period

(Demonstration risks cover will be taken up in the Third Party premium)

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OR

Rate multiplied by the Aggregate sum insured as declared by the Insured

PLUS

The Third Party Premium

Minimum Comprehensive premium: **\$4,000** + government tax

EXTERNAL AND INTERNAL RISKS

Cover Type: **Third Party**

Unregistered Motor vehicles	\$450 per vehicle
Trade/Demonstration Plates	\$450 per trade plate
Drivers	\$450 per driver
Customers vehicles	\$450 per vehicle
Registered motor vehicles	\$450 per vehicle
Demonstration risks cover	25% of Third Party premium

OR

A rate applied to an appropriate risk assessment factor, or combination or risk assessment factors for example:-

- % of Annual Gross revenue
- A flat annual premium

Minimum Third Party premium: **\$2,000** + government tax

Cover Type: **Third Party Fire & Theft**

Unregistered Motor vehicles/D Plates	3.50% of Own Damage sum insured	Any One Period
Customers vehicles	3.50% of Own Damage sum insured	Any One Period
Registered motor vehicles	3.50% of Own Damage sum insured	Any One Period
(Demonstration risks cover will be taken up in the Third Party premium)		

OR

Rate multiplied by the Aggregate sum insured as declared by the Insured

PLUS

The Third Party Premium

Minimum Third Party Fire & Theft premium: **\$4,000** + government tax

Cover Type: **Comprehensive**

Unregistered Motor vehicles/D Plates	6.75% of Own Damage sum insured	Any One Period
Customers vehicles	6.75% of Own Damage sum insured	Any One Period
Registered motor vehicles	6.75% of Own Damage sum insured	Any One Period
(Demonstration risks cover will be taken up in the Third Party premium)		

OR

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Rate multiplied by the Aggregate sum insured as declared by the Insured

PLUS

The Third Party Premium

Minimum Comprehensive premium: **\$5,500** + government tax

Effective August 1st 2023, the following minimum annual premiums are now applicable to both Renewals and New Business for the Motor Traders Product:

Category of Risk	MINIMUM ANNUAL PREMIUMS TT\$
Motor Traders –Comprehensive	\$2,500
Motor Traders –TPF&T	\$2,000
Motor Traders –Third Party	\$1,500

Note: The premiums noted above are Pre-Tax and subject to the usual Mandatory Portfolio charge

18.3 Optional Extra Benefits:

Increased Third Party Limits of Liability –

Requests for increased Limits of Liability must be considered on a case by case basis and as such must be referred to Head Office. For example: An Insured may require higher limits in order to fulfill contractual obligations.

Underwriters must adhere to the following:

- (i) Underwriters are **NOT** to allow any increased limits of liability to new clients unless approved by the **Operations Lead**.
- (ii) Clients **MUST** provide a copy of the contract showing the insurance requirements to be satisfied and details of the works
- (iii) The criteria for allowing increased limits should be on a strict accommodation basis unless otherwise **approved by the Operations Lead**. *The Underwriter is also to take into consideration the client claims history, size of the portfolio with GGIL, the history of the client.*
- (iv) The **underwriting authority limits of liability for Motor Third Party BI and PD was revised**, reducing the authority to the Operations Lead from **5 MIL USD to 3 MIL USD**. Limits above this is to be approved by the **CTO/COO**.

Bodily Injury Limits	Property Damage Limits	% of TP Premium
\$6,300,000	\$6,300,000	150%
\$6,500,000	\$6,500,000	160%
\$6,800,000	\$6,800,000	180%
\$12,600,000	\$12,600,000	300%
\$31,500,000	\$31,500,000	400%

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Increased legal expenses – Manslaughter: 1% of limit in excess of \$10,000

Special Perils: 0.5% of the total sum insured Any One Period on the Insured's unregistered vehicles/trade plates, Customers vehicles and Registered vehicles or 0.5% of the Aggregate sum insured as declared by the Insured.

Windscreen Damage: 7% of aggregate limit

Tool of Trade: \$500. per vehicle

Subrogation Waiver

In special circumstances an Insured may request a Subrogation Waiver in favour of a Principal for whom he is working. Each such request must be considered on a case by case basis. Where an accommodation is made the name of the Principal and a reference to the specific contract must be noted on the Subrogation Waiver endorsement. An appropriate additional premium may be charged.

18.4 Loadings

Criteria	Loading
Drivers less than 20 years of age	50%
Drivers 20-25 years of age	35%
Drivers with less than 2 years driving experience	15%
Persons Learning to drive (tuition), and/or using the vehicle for Examination purposes	50%
Other Loadings may be applied at Underwriters' discretion e.g. claims experience	U/W's discretion

The above loadings are designed to be combined where the risk presented falls into more than one category.

Example: A Driver may be under 25 years of age (35%) AND inexperienced with driving experience of under 2 years (15%) = Total Loading 50%.

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18.5 Short Term Rates/Premium

PERIOD	PREMIUM TO BE CHARGED	
1-3 days	10% of annual premium	Minimum of \$100.00
Not exceeding 1 week	12.5% of annual premium	Minimum of \$100.00
Not exceeding 1 month	25% of annual premium	Minimum of \$100.00
Not exceeding 2 months	37.5% of annual premium	Minimum of \$100.00
Not exceeding 3 months	50% of annual premium	Minimum of \$100.00
Not exceeding 4 months	60% of annual premium	Minimum of \$100.00
Not exceeding 6 months	70% of annual premium	Minimum of \$100.00
Not exceeding 8 months	80% of annual premium	Minimum of \$100.00
Exceeding 8 months	FULL ANNUAL PREMIUM	

Where an existing policy is being cancelled, the above rates must also be used unless the reason for cancellation justifies the application of a pro rata premium, for example:

- Replacing one policy/vehicle with another
- Deletion of vehicle(s) from the policy
- Insured migrating

18.6 No Claim Discount

Provided no claim is made or arises under the Policy during a Period of Insurance specified below immediately preceding the renewal of the Policy, the following No Claim Discount will be given :-

PERIOD OF INSURANCE	All cover types
The preceding year	15%
The preceding two (2) consecutive years	20%
The preceding three (3) consecutive years	25%
The preceding four (4) consecutive years	35%

18.7 Standard limits of liability

DETAILS	MOTOR TRADE
ITEM	LIMIT
Protection & Removal	\$750
Section 3	
Bodily Injury	\$2,000,000
-in respect of any claim by any one person	\$4,000,000
-in respect of a series of claims arising out of one event	\$1,000,000
Property Damage	
-in respect of any claim by any one person	\$2,500,000
-in respect of a series of claims arising out of one event	\$10,000
Legal Charges (Manslaughter)	

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Emergency Treatment -in respect of any claim by any one person	\$1,000
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18.8 EXCESSES

We will not pay for the first sum as stated below of any claim for loss or damage under Section 2 – Loss or Damage. In the case of a Total Loss, the Percentage stated is of the Sum Insured or Market Value at the time of the loss or damage, whichever is less. In the case of a Partial Loss, the Percentage stated is of the Sum Insured at the time of Loss or Damage. If no Percentage is stated, the Minimum Excess applies.

Note: These Excesses apply to all listed Insured's Registered and Unregistered Motor Vehicles separately and to all Customer's Motor Vehicles separately unless otherwise stated.

	Percentage	Minimum Excess
a) Under Section 2, Item 1 whilst the Insured's Registered Motor Vehicle or Unregistered Motor Vehicle or the Customer's Motor Vehicle is being driven by any Authorized Driver who is under the age of 25 years or who is the holder of a learner's permit or who is the holder of a driving permit which has been in force for less than 2 years.	10 %	\$3,000
b) Under Section 2, Item 1 whilst the Insured's Registered Motor Vehicle or Unregistered Motor Vehicle or the Customer's Motor Vehicle is being driven by any person other than an authorized driver as described in a) above.	10 %	\$ 3,000
c) Under Section 2, Item 1 when any of the provisions in a) and b) above do not apply.	10 %	\$ 3000

Effective 1st January 2023 all Motor Traders risks must have prior approval and sign off by the Manager or above.

NOTE: The above rates and excesses may be altered subject to referral to and sign off by the Manager or above with the Underwriter's detailed explanatory notes on Webstar justifying the reason/s for the reduction/s.

19. List of Approved Inspectors/Valuators

Effective 18th April 2024 the List of Approved Inspector/Valuators is updated as follows:--

Lead Insurance Assessors Limited 16 Woodford Street Newtown, Port of Spain	Tel: 622-6328 (Office) 334-1248 (Mobile) E-mail: leadinsure@yahoo.com
V.S.M. Insurance Adjusters 20 Fairview Drive Moka, Maraval	Tel: 685-0480 (Mobile) E-mail: vsm.insuranceadjusters@gmail.com
Insurance Investigations Services Ltd 109 Seventh Street Barataria & 54-56 Independence Avenue San Fernando	Tel: 674-4475 (Office) E-mail: iisl@iisltd.com Tel: 657-1160 (Office) 680-0124 (Mobile) E-mail: iisl@tsst.net.tt
Independent Claims Adjusting & Valuations Services (ICAVS) 139 Eastern Main Road, Barataria	Tel: 235-5069 (Office) 367-4361 (Mobile) E-mail: icavslimited@gmail.com
Premiere Adjusters and Valuations Services Ltd. 29 Lower Couva Road, Preysal	Tel: 223-4923 (Office) 683-4584 (Mobile) E-mail: premiereadjusters@gmail.com Contact: 762-7838 / 271-5555 Email: advanceclaims1@gmail.com Mr. Danny Mahabir
Advance Claims Concepts Ltd. #5 Katwaroo Branch Trace Penal	
DC Motor Adjusters #12 Pioneer Drive Sea Lots, POS	Tel: 235-4051/357-7735 Email: dcmotoradjusters@gmail.com Mr. Derrick Chai

NOTE: For vehicles located in **Tobago**, arrangements can be made with Lead Insurance Assessors Limited.

20. ROLL-ON ROLL-OFF / FOREIGN USED VEHICLES

Criteria for Acceptance for Comprehensive

- A Current valuation by an approved valuator is required otherwise Third Party cover will be given
- All foreign used/roll on roll off vehicles must be fitted with an Approved or acceptable Anti-Theft Device.
- Standard Excesses to apply

Rates and Excesses

The Rates and Excesses applicable to Roll-on Roll-off/Foreign Used Vehicles are the same as the rates and excesses applicable to the Standard Policy.

21. CERTIFICATE TYPES AND USE

Private	
TT CERT TYPES	Description
TX1	Private Individual Open
TX3	Private Individual Insured non-driver
TX4	Private Company Open Insured non-driver
TX5	Private Joint Open one can drive other vehicles
TX9	Private Joint Open non can drive other vehicles
TX24	Experienced Young Driver Private Open

Motor Cycles	
TT CERT TYPES	Description
TY1	INDIVIDUAL RESTRICTED TO INSURED ONLY
TY4	INDIVIDUAL OPEN COVER
TY100	COMPANY OPEN COVER

Own Goods	
TT CERT TYPES	Description
TZ500	INDIVIDUAL NOT PULLING A TRAILER
TZ501	INDIVIDUAL PULLING A TRAILER
TZ502	COMPANY NOT PULLING A TRAILER
TZ503	COMPANY PULLING A TRAILER
TZ504	JOINT INDIVIDUAL NOT PULLING A TRAILER
TZ505	JOINT INDIVIDUAL PULLING A TRAILER

General Transport	
TT CERT TYPES	Description
TZ301	INDIVIDUAL GENERAL TRANSPORT NOT PULLING A TRAILER
TZ302	INDIVIDUAL GENERAL TRANSPORT PULLING A TRAILER
TZ303	COMPANY GENERAL TRANSPORT NOT PULLING A TRAILER
TZ304	COMPANY GENERAL TRANSPORT PULLING A TRAILER
TZ305	JOINT INDIVIDUAL GENERAL TRANSPORT NOT PULLING A TRAILER
TZ306	JOINT INDIVIDUAL GENERAL TRANSPORT PULLING A TRAILER

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Special Types	
TT CERT TYPES	Description
TZ801	Special Types, Agricultural and site clearing units: Individual Tractors etc
TZ802	Special Types, Agricultural and site clearing units: Company: Tractors etc
TZ803	Special Type Ambulance
TZ804	SPECIAL TYPE: HEARSE
TZ805	SPECIAL TYPE: FIRE TENDER
TZ806	SPECIAL TYPES: INDIVIDUALS CRANES/FORKLIFTS
TZ807	SPECIAL TYPES; COMPANY CRANES/FORKLIFTS
TZ808	BOAT TRAILERS
TZ809	COMMERCIAL TRAILER
TZ810	SPECIAL TYPE RENTALS: COMPANY CRANES/FORKLIFTS

Hired Risks	
TT CERT	Description
TZ404	Company Motor Cab
TZ405	INDIVIDUAL MOTOR CAB
TZ600	INDIVIDUAL OMNIBUS
TZ601	COMPANY OMNIBUS

Rentals	
TT CERT TYPES	Description
TZ406	COMPANY PRIVATE RENTALS 'R' LONG TERM RENTALS
TZ407	COMMERCIAL REGISTERED 'T' LONG TERM RENTALS
TZ408	PRIVATE RENTALS 'T' SHORT TERM RENTALS
TZ409	COMMERCIAL REGISTERED 'T' SHORT TERM RENTALS

22. ADDENDA

The following promotions were introduced as stated:-

1. CROSS SELL Initiative – Effective 20 September 2018

ELIGIBILITY & PROCEDURES

Discounts will be offered to all GLOC customers who are holders of any of the following health cards:-

- Provisor
- Quantum
- Guardian Executive Medical
- Global Care Plus.

The applicable discounts are as stated:-

- **20% on New business** for **Private** and Private Use **Pick-Up** policies – **Comprehensive** cover only.
- **10% on New business** - for Homeowners Building and/or Contents insurance.

2. Special Offer to Members of Trinidad & Tobago Police Service – Effective 02 December 2018

- **10% on New business** for **Private** and Private Use **Pick-Up** policies.
- **10% on New business** - for Homeowners Building and/or Contents insurance.
- Concierge service at all Customer Service locations, where members of the police service will receive immediate and personal attention for their insurance matters.

3. Guardian Asset Management Loyalty Card Campaign – Effective 22 January 2019

ELIGIBILITY & PROCEDURES

- **For all GAM** customers with Loyalty cards.
- Applicable to New business and Renewals on **Private** and Private Use **Pick-Up** policies – **Comprehensive** cover only - 20% discount provided the client does not have any special discount. If the existing special discount is below 20% it may be increased to same. An insured can qualify for a maximum of three (3) discounts (NCD, ATD & a Special Discount).
- **10% discount on New business** - for Homeowners Building and/or Contents insurance subject to a Minimum Building Rate of \$3.50 per mille and Contents rate of \$4.50 per mille.

4. High Net Worth Campaign (HVV) – Effective 15 April 2019 - updated July 30th 2024

The intention of this campaign is to capture the segment of the market who own 'high valued' vehicles ranging between \$300,000 to \$3,000,000.

ELIGIBILITY & PROCEDURES

- Applicable only to **New business** on **Private** and Private Use **Pick-Up** policies – **Comprehensive** cover only.
- For newly purchased vehicles, second hand vehicles up to 5 years old and foreign used vehicles up to 5 years old.
- Base rate: 11.5% of the sum insured plus Third Party premium of \$1,500

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- Discounts: 55% special and 60% NCD provided the client has been claims free for the past 2 years.
- Maximum number of discounts allowed is three (3): HVV, Anti-theft & NCD.
- \$270,000 Minimum Sum Insured at Renewal** - Vehicles whose sums insured fall below the \$270,000 minimum for renewal are to be re-underwritten using the terms of the standard motor plan or any other available plan / campaign for which the client qualifies, selecting the option that offers the best benefits.
- **Benefits: Windscreen cover** - First \$7,500 free; 5% of limit in excess of \$7,500. Personal Accident Benefit to Insured & Spouse \$20,000, Medical Expenses \$10,000, Clothing & Personal effects \$10,000, Legal Expenses (Manslaughter) \$25,000
- Group Code: **HVV**
- This campaign is open to all contract categories – Direct, Broker, Corporate Agents and Salesmen.

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FLOOD RATING' GUIDELINES

Effective 19 March 2019 the following 'Flood rating' guidelines were included:-

Scenarios	Requests	Recommendations
MOTOR		
Existing clients who had flood claims	1. Insuring a newly registered vehicle, second hand vehicle or foreign used/roll on roll off vehicle but do not live in an area that regularly floods (that is susceptible to low incidence of flooding)	We will insure > using normal underwriting rules. Note: second hand vehicles valuation as required
	2. Insuring a newly registered vehicle, second hand vehicle or foreign used/roll on roll off vehicle but live in an area where there is a higher probability of flooding	> We will insure > Apply 20% claims loading > Increase flood excess to 3.5% of sum insured minimum \$3,000 Note: second hand vehicles valuation as required
	3. Insuring a newly registered vehicle, second hand vehicle or foreign used/roll on roll off vehicle but live in an area where flooding is a certainty	> We will insure > Apply 35% claims loading > Increase flood excess to 5% of sum insured minimum \$5,000 Note: second hand vehicles valuation as required >Refer to Team Leader/Manager for sign off prior to releasing terms
	4. Insuring a vehicle settled on a Constructive Total Loss Basis (CTL)	We will: > Obtain a conditional inspection/valuation report from one of the following Independent Adjusters: POS: Independent Claims Adjusting & Valuation Services Ltd - Gerard Joseph (235-5069) Insurance Investigation Services Ltd - Steven Smith (674-4475) SDO: Premiere Adjusters & Valuation Services Ltd - Mitra Parian (223-4923) Insurance Investigation Services Ltd - Steven Smith (674-4475) > Upon receipt of the report we will review and determine if to: Deny, write as Third Party only or Comprehensive. If we decide to accept for Comprehensive use recommendations as per (1) (2) & (3) above > Refer to Team Leader/Manager for sign off prior to releasing terms

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	5. Staff (Guardian Group) with above scenarios	We will insure under the staff plan : > as per recommendations stated in either 1,2,3, or 4 above
New clients (no business with GGIL) who had flood loss/claim with another insurer or had no flood coverage	1. Insuring a newly registered vehicle, second hand vehicle or foreign used/roll on roll off vehicle but do not live in an area that regularly floods (that is susceptible to low incidence of flooding)	We will: Apply Standard Rates (Normal Underwriting with an increased excess) (DO NOT attach to any group) 5% claims loading Anti Theft Discount where applicable -Special Discount up to 30% depending on sum insured Increase Flood Excess: 5% of sum insured min \$5,000 Note: second hand vehicles valuation as required
	2. Insuring a newly registered vehicle, second hand vehicle or foreign used/roll on roll off but live in an area where there is a higher probability of flooding	We will: Apply Standard Rates (DO NOT attach to any group) 35% claims loading Anti Theft Discount where applicable Special Discount up to 30% depending on sum insured Increase Flood Excess: 7.5% of sum insured min \$5,000 Note: second hand vehicles valuation as required
	3. Insuring a newly registered vehicle, second hand vehicle or foreign used/roll on roll off but live in an area where flooding is a certainty	We will insure: Apply Standard Rates (DO NOT attach to any group) 50% claims loading Anti Theft Discount where applicable Special Discount up to 30% depending on sum insured Increase Flood Excess: 10% of sum insured min \$5,000 >Refer to Team Leader/Manager for sign off prior to releasing terms Note: second hand vehicles valuation as required
	4. Insuring the same vehicle or any other vehicle that was subject to flooding	We will: Decline
New clients (no business with GGIL) but live in an area that regularly floods but was not affected & never had a flood claim	1. Insuring a newly registered vehicle, second hand vehicle or foreign used/roll on roll off but live in an area where there is a probability of flooding	> We will insure Apply Standard Rates (Normal Underwriting with an increased excess) > Increase flood excess to 5% of sum insured minimum \$5,000 Note: second hand vehicles valuation as required

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6 MONTH POLICIES

Clients have the option to purchase 6 month policies which is applicable to Comprehensive cover only for Private and Private use pick ups. A 6 month policy can be effected for both new businesses and renewals via all contract categories. Fleets are excluded and with respect to group schemes, **only the following specified groups** will have the option of obtaining 6 month policies: High Valued Vehicles/High Net Worth (HVV).

Policy form

The current Private and Private use pick-up policy wordings will be used as the only substantial change was to the NCD section which was changed to refer to months instead of years. (see Private car NCD section)

Motor portfolio charge – The motor portfolio charge will be applied at the initial or first 6 month period

Rating of Optional Extra Benefits

The full or 100% charge for benefits such as windscreen, courtesy car and hospitalization will be applied at each 6 month period.

Premium split

The annual premium will be split 50/50 for the first and second 6 months. (ie if the annual premium is \$4,000 plus the charge for windscreen and any other benefits that are not subject to discounts, then \$2,000 plus the charge for windscreen etc. plus the motor portfolio charge will be applied at the new business and subsequent 6 month renewal (but excluding the motor portfolio charge).

Short-period refund scale

The short period refund scale will no longer be stated in the policy wording as there will be 2 sets of short-period rates. One for annual policies and another for 6 month policies as follows:-

PERIOD	PREMIUM TO BE CHARGED	
1-3 days	10% of semi- annual premium	Minimum of \$100
Not exceeding 1 week	15% of semi-annual premium	Minimum of \$100
Not exceeding 1 month	25% of semi-annual premium	Minimum of \$100
Not exceeding 2 months	40% of semi-annual premium	Minimum of \$100
Not exceeding 3 months	55% of semi-annual premium	Minimum of \$100
Not exceeding 4 months	70% of semi-annual premium	Minimum of \$100
Not exceeding 5 months	85% of semi-annual premium	Minimum of \$100
Exceeding 5 months	FULL PREMIUM	

Amendments in sums insured – After the first 6 month of insurance, underwriters may allow up to 5% reduction then a further 5% reduction at the end of second 6 months. It is to be noted that this is just a guide and the final outcome will be based on each scenario at which time the underwriter may exercise discretion.

Lapses in cover – In order for a policy to be reissued the lapse in cover should not exceed 1 month.

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Effective 1st October 2020 the following discretionary discounts were implemented:-

1. GG Switch Discount

This discount is to be used at the discretion of underwriters only. It is not automatic.

New Discount Code: SWIT – 15% - GG Switch Discount

ELIGIBILITY & PROCEDURES

- Applicable to **new business** only
- Applicable to all comprehensive private use vehicles (including Pick Up) and commercial own goods new business only
- The maximum allowed for this discount is 15% but underwriters should start by using increments of 5% and not automatically allow the maximum.
- Applicable to all campaigns **that have special discounts of less than 65%** (any exception must be approved by your upline)
- Discount should be used as a fourth discount. When combined with other special discount (excluding ATD), and must not exceed 60%. E.g. 45% Special discount + 15% Switch discount = 60%
- **Only to be used in cases where we are sure we are not going to get the business due to our premiums being too high**
- Discount can be allowed for all business channels (BRK, DIR, SAL, & BIN)
- Once the switch discount is used, **the quote must be immediately entered on Webstar** to avoid any problems from the different channels.
- This discount is to be used **at the discretion** of underwriters only. It is not automatic. **Underwriters should not authorize any producers to apply this discretion.**

2. Partnership with PriceSmart Limited

Rewards are given based on the client being a PriceSmart Club Member. PriceSmart Club Members will now be eligible for an additional 5% discount for New Private Motor & Homeowners Policies.

ELIGIBILITY & PROCEDURES

- Client **MUST** submit a copy of their PriceSmart Membership Card upon effecting the policy
- Copy of client's PriceSmart Membership Card to be placed in policy documents
- Discount can only be applied to **New Business ONLY**
- Discount can be applied to Comprehensive, Third Party and Third Party Fire & Theft policies
- The discount can only be applied to Private Motor Policies (APU,APC,APG) and Homeowners Building and/or Content Policies (FHO).
- Rate on the FHO – building should not be less than 3.50%o after application of 5% discount.
- Discount to be added in addition to all other discounts client qualifies for
- Discount does NOT apply to renewal of existing policies
- Discount does NOT apply to premiums raised by endorsement of a policy
- ALL Contract Categories (DIR, AGT, SAL & BRK) are eligible to receive the discount.